

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-04

PORTS AMERICA CHESAPEAKE, LLC,

and

MARINE TERMINALS CORPORATION-EAST,

COMPLAINANT,

v.

APS EAST COAST, INC.,
RESPONDENT.

**OPENING BRIEF OF COMPLAINANTS,
PORTS AMERICA CHESAPEAKE, LLC AND MARINE
TERMINALS CORPORATION-EAST AGAINST
RESPONDENT APS EAST COAST, INC.**

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I. INTRODUCTION

The evidence in this proceeding overwhelmingly establishes that the Respondent APS East Coast, Inc. (“AMPORTS”) engaged in a pattern and practice of conduct in violation of the Shipping Act. Specifically, the evidence establishes violations of the Shipping Act’s prohibitions against unreasonable practices in violation of 46 U.S.C. § 41102(c) unreasonable preferences and prejudices in violation of 46 U.S.C. § 41106(2); and unreasonable refusals to deal in violation of 46 U.S.C. § 41106(3).

AMPORTS is an auto processor, a business that prepares vehicles for car manufacturers, and as relevant here, vehicles that are imported and exported on ocean vessels on the journey between manufacturers and car dealerships. In connection with its business, AMPORTS owns two marine terminals in Baltimore, MD where ocean going vessels load and discharge vehicles, generally going to or from AMPORTS in its processing business. As a consequence of owning the terminals, AMPORTS is a Federal Maritime Commission (“FMC”) registered Marine Terminal Operator, and publishes a FMC Marine Terminal Operator Schedule: APS Atlantic & Chesapeake Terminal Tariff No. 2, 019071-002 (the “AMPORTS Schedule”). AMPORTS charges vessels and cargo under the AMPORTS Schedule for vessels to use the berths and their cargo to use the terminal for loading and unloading between a vessel and the “point of rest” on the terminal. AMPORTS does not perform any stevedoring, does not hire stevedores, and does not own or operate equipment used by vehicle stevedores. When vessels load or unload cargo at the terminals, the vessels hire their own stevedores directly. AMPORTS has little to no involvement with stevedoring operations.

Complainants Ports America Chesapeake, LLC (“PAC”) and Marine Terminals Corporation-East (“MTCE” and when referred to collectively, “Ports America”) are stevedores in the Port of Baltimore, and as relevant here, are hired by vessel operators to perform roll-on/roll-off (“ro/ro”) stevedoring for vessels and their cargo calling at AMPORTS’ terminals. As ro/ro stevedores,

Complainants load and unload vehicles between vessels and the point of rest on the terminal. In the case of cars, stevedores often physically drive the cars under their own power on and off vessel ramps to the parking areas on the terminal. To the extent AMPORTS is involved with the process, its involvement is mainly designating the point of rest, and taking possession of the cargo after it is parked at the point of rest, *i.e.*, after the stevedore is done stevedoring the vehicle for the vessel.

In fall 2021, AMPORTS executives were looking for ways to generate additional revenue for the company. The idea was to come up with [REDACTED] of new annual EBITDA by focusing on “ancillary businesses.” The ancillary business AMPORTS chose as a “top priority strategic initiative” was stevedoring. It was indeed an “ancillary business,” in that AMPORTS was not a stevedore, did not hire stevedores, and did not use stevedores. But it had marine terminals. The next step was how to get the revenue.

Three AMPORTS’ executives, CEO Steve Taylor, CFO Jacob Brown, and COO Ben Buben, thus embarked on an ultimately ill-fated plan to raise new revenue for the company by attempting to extract it from stevedores. The basic idea was to charge a new fee per car and generate the [REDACTED] of new EBITDA. One problem was that AMPORTS already charged the terminal users—vessels and cargo—for the terminal services they obtained, which included the services used by the vessels for their subcontracted stevedoring. Instead, AMPORTS’ came up with a concept to select one stevedore as a “preferred stevedore” and privately contract with that preferred stevedore to pay a per car fee for the preference. The non-preferred stevedores were then assessed a much higher fee, principally because of their status as a non-preferred stevedore and/or as a revenue raising opportunity from the higher access fees.

The plan was ill fated because it never worked. AMPORTS never received any fee revenue from anyone, but it left a trail of disruption and harm that is still continuing today, even after AMPORTS pulled the plug on its initial preferred stevedore and \$25 non-preferred stevedore access

fee concept on May 15, 2024. Ports America's damages from lost business are over [REDACTED] and continuing in 2024 at approximately [REDACTED] per month. And in the latest twist, less than two weeks after rescinding the failed initiative and \$25 access fee, AMPORTS announced as of June 1, 2024, yet another access fee, equally unjustified and equally likely to continue the ongoing disruption, violations and harm.

II. SUMMARY OF ARGUMENT

This case is about the harm and damages AMPORTS' initiative inflicted on Ports America, AMPORTS' violations of the Shipping Act, and the Shipping Act remedies that are needed and warranted to stop the violations and make Ports America whole. AMPORTS' initiative and its execution violated the Shipping Act in key respects:

First, the \$25 non-preferred stevedore access fee ("Access Fee"), which was never actually about "access," utterly fails under the Shipping Act's seminal test of reasonableness for terminal charges. The Access Fee was a general revenue raising fee without any correlation of costs between services to benefits received.

Second, when it finally rescinded the failed initiative, instead of stopping there, AMPORTS doubled down on a different, but equally unreasonable, new access fee.

Third, AMPORTS sought to assess the access fee via the FMC published AMPORTS Schedule, and then sought to collect it from Complainants as nonpreferred stevedores, but the AMPORTS Schedule did not actually assess the fee against stevedores.

Fourth, to make the preferred concept work, AMPORTS knowingly and actively interfered with Ports America's agreements and long-standing business relationships with ocean carriers in an effort to funnel Ports America's stevedoring business to its preferred stevedore. AMPORTS had no lawful basis for such interference, which also directly infringed the rights of ocean carriers to choose their own stevedores.

Fifth, AMPORTS claimed that it conducted a “competitive bidding” process for consideration of preferred stevedores, but despite Ports America plainly qualifying for consideration under AMPORTS’ own criteria, and indeed, despite having been on AMPORTS’ list of stevedores to include, AMPORTS inexplicably excluded Ports America from consideration at the outset. As a result, other preferenced stevedores were considered, including the selected preferred stevedore in Baltimore, but Ports America was treated differently to its significant prejudice. Then AMPORTS tried to cover it over with a litany of *post hoc* excuses, none of which establish a valid transportation related reason for its differential treatment.

Finally, Ports America was shut out of the consideration, both initially when AMPORTS excluded Ports America from consideration and again later when Ports America found out about the “competitive bidding” process and sought equal treatment and consideration. But AMPORTS only compounded the shut out—again refusing to deal with Ports America without a reasonable justification.

As a result of all of the foregoing, Ports America has lost the majority of its stevedoring business previously performed for vessels calling at AMPORTS’ terminals. Its lost business damages are over [REDACTED] and climbing at a rate of [REDACTED] a month.

III. PROPOSED FINDINGS OF FACT

Proposed Findings of Fact (“PFF”), filed contemporaneously herewith, are incorporated in full by reference.

IV. ARGUMENT

A. Unreasonable Practices in Violation of 46 U.S.C. § 41102(c)

1. AMPORTS’ \$25 Per Car Fee for Terminal Access Was Unreasonable and Excessive in Violation of 46 U.S.C. § 41102(c)

For a marine terminal operator’s practices to be “reasonable” for the purpose of Section

41102(c), the practice “must be otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view.” *Ceres Marine Terminal, Inc. v. Maryland Port Admin.*, FMC Dkt. No. 94-01, 1997 WL 35281266, at *38 (FMC Oct. 10, 1997) (“*Ceres Terminal*”) (citing *West Gulf Maritime Ass’n v. Port of Houston*, FMC Dkt. No. 75-21, 21 FMC 244, 248 (FMC Aug. 16, 1978) (“*WGMA*”)).

With respect to marine terminal operator charges, the Supreme Court in *Volkswagenwerk Aktiengesellschaft v. Federal Maritime Commission* established that the proper standard is whether the charge is reasonably related to the service rendered. 390 U.S. 261 (1968) (“*Volkswagenwerk*”). In doing so, the Court expressly rejected the position that receipt of “some substantial benefit” is sufficient without a reasonable “correlation of that benefit to the charges imposed.” *Id.* at 281-282. Those principles were applied in *Louis Dreyfus Corp. v. Plaquemines Port, Harbor and Terminal Dist.*, FMC Dkt. No. 79-45, 25 F.M.C. 59, at *33 (ALJ June 30, 1982) (“*Plaquemines*”), holding that terminal charges must bear a reasonable relationship to the comparative benefit obtained from the services received by the party assessed the charge. *Id.* at *36. *Plaquemines* involved a host of charges found not reasonably related to the services provided, including duplicative charges for the same service, charges lacking proof that the assessed party received comparative benefit because the services were largely provided to other beneficiaries, and charges in effect generating general revenue not tied to a transportation cost or service. *Id.* at *37.

Other precedents following *Volkswagenwerk* articulate additional factors for determining a charge’s reasonableness. A reasonable charge must be *justified by evidence* of the actual costs of the service to be defrayed or recompensed by the charge. *See Plaquemines* at *37. The level of a charge must be reasonably related to an actual service performed or a benefit conferred *on the person charged*. *WGMA*, 21 FMC 244, 248, fn 14; *see also Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal Dist.*, FMC Dkt. No. 94-32, 27 S.R.R. 1123, 1132 (FMC Jul. 30, 1997)(the

Commission holding that “it is essential in considering whether a particular allocation or assessment is just and reasonable to first determine for whom the service is performed.”). Once actual costs or benefits are established by evidence, and the beneficiaries established, those costs or benefits must still be reasonably allocated to the beneficiary charged. *See, e.g., Mar-Mol Co. and Copycorp. v. Sea-Land Service, Inc.*, FMC Dkt. No. 95-11, 1996 WL 734232, at *29 (ALJ Dec. 12, 1996) (finding unreasonable a charge on one class of user for general benefits that accrue to a business as a whole); *see also Ceres Terminal*, 1997 WL 35281266, at *42 (finding that the Maryland Port Administration “violated section 10(d)(1) of the 1984 Act by engaging in an unreasonable practice by imposing on Ceres rates and charges that were excessive in relation to the level of benefit Ceres received.”).

In this proceeding, AMPORTS’ purported assessment of a \$25 per car Access Fee on non-preferred stevedores, *i.e.* Complainants, accessing AMPORTS’ terminals in Baltimore was clearly unreasonable under Section 41102(c). The charge was unreasonable in multiple respects and fails under *Volkswagenwerk* and subsequent Commission precedent.

- a) AMPORTS fails to substantiate the actual costs of the service to be defrayed or recompensed by the Access Fee

Ben Buben, the former AMPORTS COO and the principal architect of the preferred-stevedore/Access Fee initiative, testified that the Access Fee was intended to recover virtually all of AMPORTS’ annual marine terminal capital costs and operational costs: “[w]e looked at our capital expenditures each year, the cost for repaving, lighting, fencing, fixing and repairing damage. And came up with a number to cover that”; as well as terminal operating costs. PFF ¶ 68; CX_00450, Buben Dep. Tr. 123:10-17.; *see also*, CX_00277; CX_00280-81, AMPORTS 143(b)(6) Dep. Tr. 240:12-18; 243:12-244:13; CX_01510-11, AMPORTS 143(b)(6) Dep. Ex. 39, Interrogatory Response No. 17 (responding on how AMPORTS determined the \$25 Access Fee); Interrogatory Response No. 19 (purporting to describe the costs of services provided in connection with the Access Fee); and Interrogatory Response No. 20 (purporting to describe the benefits of the Access Fee

inuring for the benefit of all “commercial entit[ies]” that access and use the Terminal).

However, AMPORTS does not identify what that total cost is, *i.e.*, AMPORTS did not have, did not calculate, and could not provide an actual total dollar figure that it purportedly sought to recover via the Access Fees. PFF ¶ 66; CX_00280-81, AMPORTS 143(b)(6) Dep. Tr. 243:20-24 (“Q:...[d]id you have some quantum of cost in mind? A: No. Q. No total cost number? A: No.”); CX_00281, AMPORTS 143(b)(6) 244:10-13. (“Q: So the \$25 fee is not actually based on a calculation of any specific costs . . . that AMPORTS undertook? A: That’s correct.”).

AMPORTS’ failure to even show the total cost that it sought to recover by assessing the Access Fee dooms any attempt to then justify a reasonable correlation of actual costs to actual beneficiaries, let alone to the one class of putative beneficiary relevant here: the non-preferred stevedore Complainants.

b) AMPORTS fails to show that the Access Fee is reasonably related to an actual service provided or a benefit conferred on the person charged

(i) *AMPORTS admits that it did not allocate the costs to services provided to, or benefits received by, stevedores*

In addition to not providing a total cost, AMPORTS did not provide any itemization or categorization of those costs to services, *e.g.* how much of the costs were attributable to dredging vs. lighting, *etc.* Nor did AMPORTS have or provide any calculation for how the \$25 per car Access Fee rate was intended to recover the unknown quantum of such costs from Complainants or any other stevedores. AMPORTS’ corporate representative admitted that AMPORTS did not allocate the purported costs to any specific beneficiaries, let alone stevedores, and did not know the relative benefit to stevedores vs. benefits to other entities. PFF ¶ 76; CX_00281-82, AMPORTS 143(b)(6) Dep. Tr. 244:19-245:1 (responding that “I think it would be very difficult to allocate the cost to the beneficiaries.”).

AMPORTS’ inability to identify the total costs is especially relevant in this case because

evidence suggests that the Access Fee was actually intended to function as a penalty, not a legitimate charge for services or benefits provided. AMPORTS' Baltimore terminal manager, George Molyneaux, testified that he was told that the \$25 Access Fees was merely "a penalty fee for not using Ceres as the preferred stevedore." PFF ¶ 61; CX_00849, Molyneaux Dep. Tr. 96:18-22.

That view was shared by Ceres in an email to AMPORTS right after the Ceres preferred stevedore agreement was finalized, but before AMPORTS updated its Schedule to assess the \$25 Access Fee. After asking about timing of changes to the AMPORTS schedule, he said "Bill told me 'access fee.' I get that, not sure the amount but around 25 per unit and (knowing what I know about the rates) would likely be punitive enough..." PFF ¶ 72; CX_01355, AMPORTS 143(b)(6) Dep. Ex. 20. Mr. Buben contended that the Access Fee was not punitive because it was purportedly a fee to recover terminal capital and operating costs (testifying about the email), but that circular response only highlights the problem with AMPORTS' failure to establish the total cost it sought to recover. PFF ¶ 125; CX_00457-58, Buben Dep. Tr. 130:14-131:9. It is apparent from the context of the email that "punitive enough" refers to the intended effect of AMPORTS establishing the new \$25 Access Fee for non-preferred stevedoring in concert with AMPORTS announcing the preferred stevedore, *i.e.* that a \$25 Access Fee for carriers using non-preferred stevedores would be punitive enough for carriers to switch their stevedore to Ceres.

The Access Fee is indeed punitive. It is more than the entire margin of Complainants' stevedoring business on a per car basis, which ranged from about ■ to ■ per car. PFF ¶ 68, 77; CX_01156-57, Schmidt Dep. Tr. 117:5-118:6. Indeed, the President of PAC, Mark Schmidt, testified that the Access Fee is so excessive that it is not economically feasible for Complainants' to pay it and continue to perform vehicle stevedoring:

Q If Ports America had to pay the \$25 per car access fee to AMPORTS for access to stevedore its ocean carrier customers at AMPORTS' facilities, what would that do to Ports America Chesapeake or MTCE business?

A It would, essentially, shut down our business at any of the sites where AMPORTS

charged the fee.

Q Okay. And why is that?

A Because the charge is onerous and punitive, more than our EBITDA or earnings for those locations.

CX_01156, Schmidt Dep. Tr. 117:5-16.

(ii) *AMPORTS fails to substantiate or correlate the Access Fee to actual services to stevedores*

AMPORTS' Terminal Manager testified "[w]e don't provide any services to stevedores." PFF ¶ 20; CX_00847-48, Molyneaux Dep. Tr. 94:24-95:5. When asked if AMPORTS had any costs to provide stevedores access to the terminal, he testified that "No. There is no cost to access." PFF ¶ 21; CX_00848, Molyneaux Dep. Tr. 95:6-16. He explained that stevedores only have to show their TWIC (Transportation Worker Identity Card) at the gate like anyone else who enters the terminal. CX_00848, Molyneaux Dep. Tr. 95:17-25. When asked if AMPORTS provided any facilities to stevedores, he testified that they "supply bathrooms and parking" and "lighting if the work is at night. That's pretty much it." PFF ¶ 24; CX_00869, Molyneaux Dep. Tr. 116:19-23. AMPORTS' corporate representative claimed "security, utilities, a safe operating environment, [and] parking for employees of the stevedore and their shuttle vans" were purportedly the key "services provided by the terminal to the stevedore." CX_00138, AMPORTS 143(b)(6) Dep. Tr. 101:19-25.

First, the small sub-set of services listed above plainly do not account for the entire capital and operating costs for the terminals. Second, no testimony or evidence in the record identified the actual costs, or estimated costs, associated with providing those incremental facilities to stevedores. Third, AMPORTS does not articulate the relative or incremental benefit received by stevedores for facilities available to and used by others. AMPORTS' employees also presumably use the bathrooms on the terminals. Similarly, providing transient parking in connection with cargo handling on 251 acres largely used for parking vehicles is at best an incremental cost and benefit. Finally, although AMPORTS asserts that the foregoing ancillary facilities were in the *de facto* sense provided "for the

stevedores,” AMPORTS does not explain how stevedores are the beneficiaries of those facilities for the purpose of determining a reasonable correlation of costs and benefits. These facilities and services are provided for AMPORTS’ customers—vessels and/or the cargo on them—to use and access the terminal to load and discharge vehicles processed by AMPORTS. Complainants work as subcontractors to the ocean carriers, to load and discharge Original Equipment Manufacturer (“OEM”) vehicle cargo. PFF ¶ 26; CX_00786-87; CX_00822, Molyneaux Dep. Tr. 33:17-34:6; 69:10-23. As such, stevedores are not providing services to AMPORTS, and AMPORTS is not providing services to stevedores. PFF ¶¶ 20, 22. As AMPORTS’ Terminal Manager succinctly testified about stevedores: “We don’t work for them and they don’t work for us.” PFF ¶ 22; CX_00848, Molyneaux Dep. Tr. 95:2-5. Instead, it is the ocean carriers and OEM cargo interests who pay fees and charges to AMPORTS for access and use of the terminals, which includes the use of the wharf and terminals for loading and unloading vehicle cargo to and from vessels and the first point of rest on the terminals. PFF ¶ 129.

(iii) The costs for terminal services benefited others, including AMPORTS

Ben Buben testified that no allocation of benefits was undertaken because the purported benefits are “not just for stevedores,” but rather, in his view “everyone benefits.” PFF ¶ 78; CX_00451-52, Buben Dep. Tr. 124:13-125:11. Although AMPORTS sought to assess and collect the Access Fee from non-preferred stevedores, AMPORTS witnesses admitted that other entities, including AMPORTS itself, benefited from the same purported costs and services. CX_00452-53, Buben Dep. Tr. 125:7-126:5 (admitting that AMPORTS benefits, “including our own AMPORTS employees, which are the number one commodity that we have”); *see also*, *e.g.*, CX_00873-74, Molyneaux Dep. Tr. 120:18-121:23 (AMPORTS benefiting from paving, and AMPORTS and vessels benefiting from dredging and berthing). There is no dispute that AMPORTS did not allocate the costs of services AMPORTS sought to recover from

Complainants to benefits actually received by any specific beneficiaries, let alone “reasonably allocate” the costs of services to benefits actually received by Complainants. PFF ¶ 78.

It is also readily apparent that AMPORTS’ cost categories include costs for services typically benefiting other entities, *e.g.*, costs for dredging and pier maintenance typically benefiting vessels using the berths and piers. Indeed, the evidence in the record shows that the generalized costs that AMPORTS sought to recover from Complainants via the Access Fee were (i) duplicative of other charges already assessed and collected by AMPORTS from other parties, and/or (ii) were premised on illusory benefits allegedly received from preferred stevedores via contract, but that AMPORTS already received the benefit of from non-preferred stevedores via the AMPORTS Schedule. AMPORTS did not offset or deduct costs already recovered from other beneficiaries paying the costs it sought to recover via the Access Fee.

At the outset, it is clear that the Access Fee was a new charge established in 2022 not associated with any new costs, services, or benefits. The costs it purported to recover were estimated from annual terminal expenditure levels in prior years. PFF ¶ 125; CX_00458, Buben Dep. Tr. 131:4-19. It was not based on recovery for any newly planned or budgeted capital projects or new services, nor any investments or services specifically intending to benefit stevedores. PFF ¶ 126; CX_00451, Buben Dep. Tr. 124:5-25. It is also clear that AMPORTS charged other users of the terminal—namely ocean carriers and cargo interests—for a wide array of charges set forth in the AMPORTS Schedule. PFF ¶ 127; CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33 (2022 Schedule).

(a) The Access Fee Sought to Charge for Costs of Services and Benefits Already Charged to Others Under the AMPORTS Schedule

Many of the existing AMPORTS Schedule charges are expressly for, or have long been established as, charges benefiting vessels and or cargo interests, such as dockage and wharfage charges. For example, Dockage is defined in the AMPORTS Schedule as:

[T]he charge *assessed against a vessel* for berthing at a wharf, pier, or bulkhead

structure, or bank, or for mooring to a vessel so berthed. The charge for Dockage shall be assessed at the Terminal Operators sole discretion against the vessel, its owners, or operators in accordance with the rates and charges specified herein.

CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33 (AMPORTS Schedule), Rule: 34 3 (emphasis added).

Dockage rates are listed in Rule: 34 67, Appendix A: APS Schedule of Rates (“Appendix A”).

Dockage is assessed “against a vessel” and pertains to the costs of use of the pier and berth by a vessel.

Wharfage is defined in the AMPORTS Schedule as:

[T]he charge *against a vessel, its owners or operators, on all cargo* including containerized cargo, merchandise, vessels stores, fuel, and supplies received for such vessel or for loading or discharging cargo to or from a vessel while docked at the wharf. Wharfage is solely the charge for the use of the wharf and does not include charges for any other service. Cargo manifests or summaries are the basis of the wharfage charge and must be furnished to the Terminal Operator within twenty-one calendar days of sailing. Failure to submit the required manifests or summaries within the twenty-one calendar days will result in withdrawal of credit privileges, the issuance of an estimated invoice payable in full and non-refundable for wharfage based on the net registered tonnage of the vessel according to Lloyds Register of shipping and its supplements, and a possible administrative charge.”

CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33 (AMPORTS Schedule), Rule: 34 3 (emphasis added);

see also 46 C.F.R. § 525.1(c)(24) (defining Wharfage as “a charge assessed against the cargo or vessel on all cargo...”). The wharfage rates for vehicles are listed in Rule: 34 67, Appendix A.

Wharfage is assessed against the vessel or cargo, for use of the wharf by the cargo, and pertains to the costs and benefits of use of the wharf for loading, discharge and placement of cargo to and from the vessel and the point of rest of cargo on the terminal. CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33 (AMPORTS Schedule), Rule 34 57. AMPORTS designates the point of rest for automobiles at AMPORTS’ terminals, and the stevedoring activity ends (or begins) at the point of rest. CX_00793-94; 00821-22, Molyneaux Dep. Tr. 40:2-41:4; 68:22-69:5.

The AMPORTS Schedule also assesses certain “Usage” and “Service and Facilities Charges” in connection with automobile cargo. “Usage” is defined in the AMPORTS Schedule as “the use of

the Terminal facility by any carrier engaged in water transportation, viz.: vessels, barges, and lighters, their owners, agents, or operators, to discharge or load cargoes from or to vessels, from or to place of rest on the Terminal facility...” CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33 (AMPORTS Schedule), Rule: 34 3; *see also* 46 C.F.R. § 525.1(c)(22). “Usage” is applicable to ocean carriers and covers the services for their sub-contracted stevedores to perform loading and unloading of their cargo, which is the situation in this case, and applies to the entirety of loading and unloading operations between the vessel and the point of rest on the terminal.¹

AMPORTS also assesses a litany of other charges on vessels and vehicle cargo, including a “Terminal Security Charge” applicable to “All other vessels and barges, including Automobile and Ro/Ro vessels, a “Watershed Protection Fee” charged per cargo item; and other “Miscellaneous Charges” in connection with vehicles for “additional services/use of facilities/types of cargo, including pictures of cargo, vehicle damage verifications;² measurement of cargo, body shop repairs, transshipment cargo, and Chesapeake Bollard Use.” CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33 (AMPORTS Schedule), Rule 34 65.

The combination of these existing charges for Dockage, Wharfage, Usage, Handling, Terminal Security, and Miscellaneous Charges with respect to automobile cargo by their terms cover services for use of berths and terminal facilities, specifically including loading and unloading vehicles and vehicle cargo to and from the first point of rest. These operations and charges for services are physically and operationally co-extensive with Complainants’ stevedoring operations performed for ocean carriers and cargo on the AMPORTS terminals. Charges for each of these services are already assessed against the vessels and/or cargo interests for the costs and benefits of

¹ Usage charges include Service and Facilities Charges and Loading, Unloading and Handling charges applicable in different vessel loading and unloading situations. See CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33 (AMPORTS Schedule), Rules 34 3, 34 7, 34 9, 34 57 and 34 67 (Appendix A).

² Taking pictures of cargo upon request or for vehicle damage verifications is charged at \$15.61 per vehicle. CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33 (AMPORTS Schedule), Rule 34 67 (Appendix A).

providing and using the terminal services and facilities in connection with docking, cargo handling and terminal security, *etc.* AMPORTS testified that wharfage and dockage charges were significant generators of revenue, charges assessed against and paid by vessels and/or OEM cargo interests, included for loading and unloading vehicles. PFF ¶ 129; CX_00086, AMPORTS 143(b)(6) Dep. Tr. 49:10-24. These charges cover the same services and benefits that AMPORTS purports to recover or offset via assessment of the Access Fee.

(b) The Access Fee Sought to Charge for Costs of Illusory Benefits Already Available to AMPORTS from Non-Preferred Stevedores Under the AMPORTS Schedule

AMPORTS conceded that there was no difference in the purported costs of services provided by AMPORTS to preferred stevedores and non-preferred stevedores. PFF ¶ 21; CX_00277, AMPORTS 143(b)(6) Dep. Tr. 240:2-18. AMPORTS' corporate representative testified that the difference between ■ per car rate assessed to the preferred stevedore by contract and \$25 per car Access Fee purportedly assessed on non-preferred stevedores, *i.e.* ■ per car, was justified at least in part by the value that AMPORTS alleged it received from the preferred stevedore in the preferred stevedoring license contract. PFF ¶ 62; CX_00083-84; CX_00274-77, AMPORTS 143(b)(6) Dep. Tr. 46:13-47:4; 237:10-240:14. Specifically, AMPORTS contended that "the two most significant factors" explaining the difference were the purported value of indemnification and insurance requirements provided in the preferred stevedoring contracts. PFF ¶ 62; CX_00274-77, AMPORTS 143(b)(6) Dep. Tr. 237:10-240:14. However, AMPORTS did not allocate or calculate any specific dollar value of the per car rate to those factors (just as AMPORTS did not explain the relative dollar value of the per car Access Fee rate associated with any capital cost or operational cost recovery). PFF ¶ 76; CX_00084; CX_00276-81, AMPORTS 143(b)(6) Dep. Tr. 47:2-4; 239:6-244:6.

Regardless, assuming AMPORTS accorded some undetermined value to the insurance and indemnity factors as a justification for assessing the \$25 Access Fee on Complainants, such value is

not substantiated by the evidence in the record. First, when asked how the alleged value of indemnity and insurance provisions were derived, AMPORTS' corporate representative testified that they were actually only "potential costs," not actual costs or values, because "we had never been sued by a stevedore before. Would be very hard to estimate that cost." CX_00285, AMPORTS 143(b)(6) Dep. Tr. 248:1-13. Thus, these were not legitimate costs permissible to recover or value at all. Second, any comparative value ascribed to them is illusory because the same, or better, insurance and indemnity benefits were already available to AMPORTS from non-preferred stevedores pursuant to the AMPORTS Schedule.

Non-preferred stevedores operating in Baltimore (*i.e.* Complainants) were already subject to broad indemnification, limitation of liability, and insurance requirements materially similar to, or greater than, the indemnification and insurance provisions in the preferred stevedore license agreement.³ With respect to indemnification, Section 6.1 of the license agreement provided for mutual indemnification of the parties for negligence or willful misconduct. CX_01328, AMPORTS 143(b)(6) Dep. Ex. 17. The AMPORTS Schedule required significantly more robust and unilateral indemnification of AMPORTS.⁴ With respect to insurance, Section 6.3 of the license agreement required the preferred stevedore to maintain certain minimum insurance "consistent with prudent industry practices" with certain coverage minimums, such as Commercial Auto Liability with a \$1,000,000 minimum, and Commercial General Liability ("CGL") with a \$1,000,000 per occurrence and \$2,000,000 aggregate minimum. CX_01328, AMPORTS 143(b)(6) Dep. Ex. 17. In contrast, the AMPORTS Schedule required more extensive coverages with higher minimums, including Commercial Auto Liability coverage with a \$5,000,000 minimum, CGL with a \$10,000,000

³ AMPORTS' corporate representative testified that he believed that AMPORTS did not have these elements covered except in the preferred license agreement, CX_00275, AMPORTS 143(b)(6) Dep. Tr. 238:20-24, but the provisions in the AMPORTS Schedule show that his belief was mistaken.

⁴ See CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33 (AMPORTS Schedule), Rules 34 2(g) (Damage to Property (Other than Cargo)); Rule 34 2(h)(Personal Injury); Rule 34 2(i)(Assumption of Risk); and Rule 34 10 (Damage Liability-Facilities).

minimum, and Stevedore's Legal Liability with a \$25,000,000 per occurrence minimum.⁵

Moreover, even if there were marginal differences in the contract rights versus the rights obtained via the AMPORTS Schedule, AMPORTS had the right to require that its ocean carrier and/or OEM customers enter into a written Access Agreement that could have provided the identical insurance and indemnity provisions contained in the preferred stevedoring agreements. *See* CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33 (AMPORTS Schedule), Rule 34 2, Jan. 1, 2022. AMPORTS could have conditioned access to the terminal on obtaining such an Access Agreement from its vessel or OEM customers. There is no evidence to suggest that it did.

Finally, despite all of the foregoing, if there was any concern with non-preferred stevedore indemnity or insurance requirements applicable through the AMPORTS Schedule, AMPORTS could have sought to amend the AMPORTS Schedule. Indeed, having recently received the newly amended AMPORTS Schedule on June 3, 2024, in addition to the changes to Rule 34 2 discussed in Section IV(A)(b)(iii)(2), *supra*, AMPORTS added new, stand-alone, requirements for "Stevedoring Service Provider Insurance" in Rule 34 11. CX_01937, June Amendment to Schedule. Notably, the new insurance requirements are also more extensive and have higher minimums than the preferred stevedore license agreement, but appear duplicative, and in some respects less than, the requirements noted above that were previously applicable through separate rules in the prior AMPORTS Schedule.

In sum, charging the Access Fee to Complainants (as non-preferred stevedores) is unreasonable because the costs of services the Access Fee sought to recover were (i) already charged to vessel and cargo beneficiaries in the AMPORTS Schedule, and (ii) materially the same indemnity

⁵ *See* CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33 (AMPORTS Schedule) Rule 34 11 (Collision Liability Insurance); Rule 34 2(c)(requiring compliance with MPA regulations applicable to stevedores); Maryland Port Administration, Schedule No. 23, Rule 34-007 (Insurance Requirements). It is also important to note that because AMPORTS entered into a bilateral contract with the preferred stevedore, the additional benefits provided via the AMPORTS Schedule were no longer enforceable as to the preferred stevedore. *See* 46 C.F.R. § 525.2(a)(3) ("If the marine terminal operator has an actual contract with a party covering the services rendered by the marine terminal operator to that party, an existing terminal schedule covering those same services shall not be enforceable as an implied contract.").

and insurance benefits that AMPORTS purported to value (erroneously) as a factor in the \$25 per car rate were already available to AMPORTS from non-preferred stevedores. Collecting any portion of the \$25 Access Fee on account of these duplicative charges and illusory benefits is unreasonable and unlawful.

(iv) AMPORTS' actual basis for determining the Access Fee rate was premised on an assumption of benefits to cargo interests, not stevedores, and otherwise picking a number that AMPORTS thought that "the market would tolerate"

To determine the Access Fee rate, Jake Brown, AMPORTS' CFO and corporate representative, disclosed for the first time in his deposition that AMPORTS' determination of the Access Fee rate was based on an estimate of the total *cargo owner* transportation cost per car. PFF ¶ 80; CX_00277-78, AMPORTS 143(b)(6) Dep. Tr. 240:19-241:9. Referring to certain "market tolerance" information, AMPORTS looked at the "average cost to get a vehicle from a[n] overseas factory to a dealer in the United States," which AMPORTS estimated was about \$2,200 per car. PFF ¶ 83; CX_00277-78, AMPORTS 143(b)(6) Dep. Tr. 240:19-241:9. AMPORTS then concluded that a charge of "roughly 1 percent of that cost [] did not seem unreasonable to [AMPORTS]." PFF ¶ 84; CX_00277-78, AMPORTS 143(b)(6) Dep. Tr. 240:19-241:9 (he also referred to looking at an "indication of a similar charge at another terminal" as part of the "market tolerance").

But AMPORTS did not evaluate or estimate a "market tolerance" for the purported payor of the Access Fee here: non-preferred *stevedores* at AMPORTS' terminals. AMPORTS understood that stevedoring would have been just one component of that \$2,200 logistics chain estimate. PFF ¶ 85; CX_00277-78, AMPORTS 143(b)(6) Dep. Tr. 240:22-241:20. And even though AMPORTS "was sure" that the market tolerance information that it relied on allocated a specific dollar amount to stevedoring costs, AMPORTS nevertheless did not look at the Access Fee in comparison to an amount of the supply chain cost applicable to stevedoring (the only party AMPORTS has invoiced

for the Access Fee), nor did Mr. Brown know what that amount was. PFF ¶ 86; CX_00278-79, AMPORTS 143(b)(6) Dep. Tr. 241:10-242:18. AMPORTS' corporate representative testified that:

Q . . . But the objective of that market tolerance evaluation was whether or not [] the fee was tolerable economically; is that correct?

A Correct. Or -- and reasonable --right? -- in light of the logistics costs for a new vehicle.

Q Okay. But this fee, AMPORTS' -- you testified AMPORTS' position is this fee would be assessed against and paid by the stevedore; correct?

A That's correct.

Q All right. So -- but you didn't look specifically at what the market tolerance for the stevedore would be with a \$25 fee, did you?

A We did not.

Q Do you have any belief about what that market tolerance might be with respect to stevedoring in Baltimore?

A I do not.

CX_00279-80, AMPORTS 143(b)(6) Dep. Tr. 242:12-243:7. AMPORTS' use of this "market tolerance" approach has two significant implications in this proceeding:

First, it further confirms that AMPORTS did not derive the Access Fee rate from an allocation of costs for services provided to the beneficiary charged the Access Fee, as required to substantiate the reasonableness of the charge on Complainants. Instead of starting with actual costs and then correlating those costs to benefits received by stevedores, AMPORTS took the opposite approach. AMPORTS started with a rate and compared it against an estimate of the all-in transportation costs of a cargo owner. The vast majority of those transportation costs—from an overseas factory to a dealer in the U.S.— have nothing to do with AMPORTS' costs for providing terminal services in connection with stevedoring. It is readily apparent that AMPORTS' "market tolerance" approach *cannot* result in any correlation or approximation of costs and benefits necessary to establish the reasonableness of a marine terminal charge under the Shipping Act.

Indeed, AMPORTS admitted that it did not do it. When asked how AMPORTS could logically allocate recovery of purported costs on a per unit basis without having a total of the costs to start with, AMPORTS' corporate representative testified unequivocally that the \$25 Access Fee

was not based on a calculation of costs, but instead, he testified that from the “market tolerance” approach: “[w]e had indication of a similar charge at another terminal and we had what we thought the market would tolerate and we picked a number.” PFF ¶¶ 87-88; CX_00281, AMPORTS 143(b)(6) Dep. Tr. 244:3-6. That approach does not remotely align with the required standard for demonstrating the reasonableness of a marine terminal charge under the Shipping Act.⁶

Second, AMPORTS’ focus on comparing the Access Fee to the total transportation cost of the *cargo owner*, when it could have compared it to the estimated stevedoring component of the supply chain estimate,⁷ indicates that AMPORTS was internally viewing the Access Fee as a charge economically benefiting *cargo interests*, not a charge economically (or reasonably) benefiting *stevedores*. AMPORTS’ former CEO, Steven Taylor, corroborated that view when questioned about why AMPORTS was purporting to charge stevedores instead of AMPORTS’ customers: “I think everyone understands the stevedoring company is not just going to take that cost. It's going to have to be passed on to someone, and that's what this is referencing here.” CX_00681, Taylor Dep. Tr. 146:10-15 (testifying about the “customer” payment language in the AMPORTS Announcement that appears in the AMPORTS Schedule).

(v) *Regardless, the Access Fee is an unreasonable general revenue raising fee*

Having failed to ascertain what costs or benefits, if any, were actually provided to or performed for the benefit of stevedores versus other beneficiaries, AMPORTS cannot show that the Access Fee was reasonably allocated to benefits provided to Complainant stevedores. *See Flanagan*

⁶ It should suffice to say that the \$25 Access Fee is obviously not 1% of the stevedores’ “cost” per car, or 1% of anything relevant. As discussed in Section, IV(a)(1)(b)(i), *supra*, with Complainants’ margin per car at AMPORTS ranging between [REDACTED] and [REDACTED] per car, the \$25 charge would be between 70% and 400% *more* than Complainants’ even make per car. MTCE’s corporate representative succinctly put the impact of having to pay the Access Fee into perspective: “Yeah. We’d be losing money on those operations.” CX_01156-57, Schmidt Dep. Tr. 117:5-118:6.

⁷ Jacob Brown testified that he “was sure” that the materials AMPORTS relied on had a separate breakdown identifying a stevedoring component of \$2,200 per car supply chain figure. CX_00278-79, AMPORTS 143(b)(6) Dep. Tr. 241:10-242:4.

v. Lake Charles Harbor and Terminal Dist., FMC Dkt. No. 94-32, 27 S.R.R. 1123, 1997 FMC LEXIS 20, *26 (FMC Jul. 30, 1997) (finding charges unreasonable where assessed on stevedores, but not specifically allocated to benefits received by stevedores, but instead conveying benefits “very general in nature, and are the sort of benefits that accrue from the business as a whole.”); *Plaquemines* at [*36-37] (charges must bear a reasonable relationship to the comparative benefit obtained from the services received by the party assessed the charge). Even if AMPORTS had identified the actual total costs that it purported to recover via the Access Fee, which it did not, and accepting for arguments sake AMPORTS’ contention that all terminal capital and operating costs “benefit everyone” that accesses the terminals, assessing the Access Fee on one class of stevedore would *at best* represent the kind of general revenue raising charge impermissible under *Plaquemines*, and/or the kind of “general benefits” theory rejected in *Volkswagenwerk*.

In sum, AMPORTS’ attempt to charge Complainants the \$25 per car Access Fee is quintessentially unreasonable, excessive, and constitutes a violation of Section 41102(c) of Shipping Act under well-established Shipping Act precedent.

2. AMPORTS’ New Terminal Access Charge Provisions, and its Newly Established \$10 Per Car Access Fee, are Unreasonable and Excessive in Violation of 46 U.S.C. § 41102(c)

On May 15, 2024, AMPORTS amended Rule 34 2 of the AMPORTS Schedule, removing the previously designated preferred stevedore/exclusive licensee and \$25 non-preferred stevedore Access Fee (the “May 2024 Amendment”). CX_01820, May 2024 Amendment to Schedule. AMPORTS also added a new provision indicating that AMPORTS might implement a new “Terminal Access Charges” in the future, to be “impose[d] ... on stevedoring services providers.” PFF ¶ 116; CX_01820, May 2024 Amendment to Schedule, Rule 34 2(a)(2)(iii). If imposed, the amended Rule states that the rate or rates for such Terminal Access Charges would be “in such amounts as Terminal Operator deems appropriate upon 10 days’ prior notice.” *Id.*

On May 24, 2024, AMPORTS again amended Rule 34 2 of the AMPORTS Schedule, with an effective date of June 1, 2024, imposing a new “Terminal Access Charge” (the “June 2024 Amendment”). PFF ¶ 118; CX_01924, June 2024 Amendment to Schedule, Rule 34 2(a)(2)(iii). By letter dated Friday, May 24, 2024, and emailed to Complainants that evening, AMPORTS announced that “On June 1, 2024, certain changes to APS East Coast Inc’s (hereafter referred to as “AMPORTS”) revised tariff for the Atlantic and Chesapeake Terminals in Baltimore, MD will go into effect June 1, 2024.” PFF ¶ 120; CX_01923, 5/24/2024 Letter to Stevedores and Carriers.

AMPORTS further stated in the letter that “AMPORTS is discontinuing its exclusive stevedoring program and replacing it with uniform tariff-based requirements and standards and a uniform terminal access fee that are applicable to all stevedoring service providers desiring to work on the terminals.” *Id.* The letter did not enclose the text of the changes, nor state the rate or terms of the new Access Fee. The letter represented that “AMPORTS expects these changes will improve the handling of cargoes at the terminals and will help to generate funds for improvements to terminal infrastructure, supporting the goal of making Atlantic and Chesapeake Terminals the premier destination for roll-on/roll-off (“ro/ro”) cargo on the East Coast.” *Id.*

On Tuesday, May 28, 2024, Complainants obtained the text of the June 2024 Amendment from AMPORTS’ tariff schedule publisher, Descartes. CX_01924, 6/1/2024 Descartes Rule Detail. In relevant part, the changes amended Rule 32(a)(2)(iii) to provide that: “Stevedoring service providers will be assessed an access fee of ten dollars (\$10.00) for each import or export vehicle handled by such stevedoring service provider on the Terminal.” *Id.*; PFF ¶ 119.

a) AMPORTS’ New \$10 Access Fee is Unreasonable and Excessive in Violation of 46 U.S.C. § 41102(c)

AMPORTS’ new \$10 Access Fee suffers from all of the same problems as the \$25 Access Fee, *see* Section IV(A)(1)(b), *supra*. AMPORTS failed to substantiate the reasonableness of the Access Fee at any level. Merely reducing it to \$10 per car is a further indication that the \$25 per car

rate was not substantiated or reasonable. However, reducing it does nothing more to substantiate the reasonableness of charging stevedores an Access Fee of \$10 per car on the basis of the same undisclosed costs and unsubstantiated benefits to stevedores as the prior Access Fee. The \$10 per car rate, at best, represents a general revenue raising fee or an unreasonable general benefits theory.⁸

AMPORTS represents in its May 24, 2024 letter announcing the upcoming change, which is addressed to “Dear Baltimore Port Partners,” but is described in file name as “Letter to Stevedores and Carriers 052424,” that the new Access Fee “will help to generate funds for improvements to terminal infrastructure, supporting the goal of making Atlantic and Chesapeake Terminals the premier destination for ro/ro cargo on the East Coast.” PFF ¶ 120; CX_01923, 5/24/2024 Letter to Stevedores and Carriers. But AMPORTS does not identify any specific new investments or benefits for stevedores. The reference to generating funds “for improvements to terminal infrastructure” reflects the same capital cost recovery component purportedly included in the \$25 Access Fee. The statement that the Access Fee will support AMPORTS’ business goals might be indicative of a general benefits theory, but it is not indicative of any new benefits to stevedores from paying the \$10 Access Fee. Therefore, the new \$10 Access Fee is unreasonable and excessive for essentially the same reasons as the \$25 Access Fee.

b) AMPORTS Failed to Provide Reasonable Notice of the New Access Fee

AMPORTS’ assessment of a material new charge via its FMC published schedule with less than a week’s notice is unreasonable. First, in its May 15, 2024 amendment to Rule 34 2 that rescinded the 25% Access Fee, AMPORTS stated that it reserved the right to assess Terminal Access

⁸ That the new Access Fee is actually assessed against all stevedores is a difference, insofar as Rule 32 4 at least facially attempts to impose the new Access Fee on all stevedores, if the charge is reasonable under the Shipping Act, but because there was already no difference in the costs of services to provide access to preferred stevedores and non-preferred stevedores, PFF ¶ 21; CX_00277, AMPORTS 143(b)(6) Dep. Tr. 240:2-18, assessing a new Access Fee on all stevedore does not impact the unreasonable failure to allocate the actual costs of services AMPORTS seeks to recover via the new Access Fee with actual benefits provided to stevedores.

Charges, and if so, would provide 10 days’ notice of the rates of such access charges. *See* PFF ¶ 117; CX_01820, May 2024 Amendment to Schedule, Rule 34 2(a)(2)(iii). However, AMPORTS’ May 24, 2024 letter, which was received 8 days prior to the June 1, 2024 effective date, did not identify the proposed new rate, or provide the proposed changes. Complainants did not learn of AMPORTS’ proposed \$10 Access Fee until it obtained a copy of a “Rule Detail” of Rule 34 2 (Access and Use) from the publisher on May 28, 2024.⁹ Complainants therefore became aware of the new Access Fee rate by their own initiative 4 days prior to its effective date. AMPORTS did not provide 10 days’ prior notice of new Access Fee rate to Complainants, nor has it actually done so to date. Moreover, neither 4 days’ notice nor 10 days’ notice is reasonable for enacting a new fee under the circumstances.

As to the 10-day notice, AMPORTS’ certainly should have complied with its own published notice terms. Moreover, providing reasonable advance notice of a new Access Fee, both the terms and the rate, is particularly important in this situation, where the charge is material, purports to assess the charge on stevedores that have never been subject to any charge under the AMPORTS Schedule, and where AMPORTS has just rescinded the contested \$25 Access Fee charge altogether less than two weeks before. The May 15, 2024 amendment that rescinded the Access Fee enabled Complainants to advise ocean carrier customers that their choice of stevedoring partners was no longer constrained by exposure to the \$25 Access Fee, and to engage in commercial discussions for stevedoring vessels at AMPORTS’ terminals, all of which requires significant planning and lead time. AMPORTS’ surprise imposition of a new Access Fee, however, materially complicates Ports America’s business planning and commercial arrangements and requires more lead time.

Although the FMC’s regulations for Marine Terminal Operator schedules do not contain the

⁹ The updated AMPORTS Schedule was obtained from the publisher on Monday, June 3, 2024. CX_01928, June Amendment to Schedule. AMPORTS amended two rules with effective dates of June 1, 2024: Rule 34 2 (Access and Use) and Rule 34 11 (Stevedoring Service Provider Insurance).

same 30 day advance notice requirement applicable for carrier tariffs, *see* 46 C.F.R. § 520.8(a)(1), the Shipping Act and regulations require that Marine Terminal Operator Schedules and practices must still be reasonable. 46 C.F.R. § 525.1(a). Complainants and ocean carriers should, at a minimum, have been able to rely upon AMPORTS strictly complying with the express rule that AMPORTS would provide not less than ten (10) days' advance notice to Complainants of the new Access Fee rate. Moreover, under the circumstances here, even 10 days' notice of a material new fee, which impacts agreements and service decisions that must be made in advance, and in part upends the changes to the same Rule 34.2 made less than two weeks earlier, is not sufficient or reasonable.

AMPORTS failure to provide adequate notice of the new Access Fee constitutes an unreasonable practice, and AMPORTS should be ordered to cease and desist from imposing any new Access Fee without first having complied with (i) its obligation to provide express advance notice of the rate to parties AMPORTS intends to charge, and (ii) under the circumstances, with an effective date of not less than 30 days from the date of actual notice to parties AMPORTS intends to charge.

3. AMPORTS' Assessment of the \$25 Access Fee in its FMC Published Schedule Did Not Assess the Access Fee On Stevedores and Provides No Basis To Invoice or Collect it from Complainants

AMPORTS argues that the \$25 per car Access Fee was assessed on Complainants pursuant to the AMPORTS Schedule, and that it was enforceable against Complainants as an implied contract. CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33. The AMPORTS Schedule in effect between January 1, 2022 to May 14, 2024 contained the \$25 Access Fee, but that Access Fee was clearly *not* assessed on stevedores or Complainants. AMPORTS' tariff argument fails as a matter of law under well-established Shipping Act precedent requiring interpretation of the "express language" of tariff schedules, disfavoring strained and inconsistent interpretations, requiring that ambiguous provisions are interpreted against the issuer, and ultimately, requiring that tariff schedule provisions are

reasonable and non-discriminatory under the Shipping Act. AMPORTS overlooks the plain language of the relevant provisions, and instead relies on a strained interpretation that is textually implausible and inconsistent with the context of the AMPORTS Schedule and relevant practices of the parties thereunder.

Marine Terminal Operator tariff schedules are subject to the Shipping Act and regulated by the FMC. Pursuant to 46 C.F.R. § 525.1, the FMC's regulation of Marine Terminal Operator Schedules is: "necessary to enable the Commission to meet its responsibilities with regard to identifying and preventing unreasonable preference or prejudice and unjust discrimination pursuant to section 10 of the Act (46 U.S.C. 41101-41106) and information made available in published Marine Terminal Operator schedules may be used to determine marine terminal operators' compliance with shipping statutes and regulations." 46 C.F.R. § 525.1(a)-(b). The validity and enforceability of practices and rates in Marine Terminal Operator schedules must be reasonable under the applicable standard of reasonableness, *see* Section IV(A)(1), *supra*, including that "[r]easonableness under this standard turns on whether the charge is assessed by the terminal against the user of the service." *WGMA*, 21 FMC 244, 260-263 (addressing a wharfage charge and holding that it is imperative for the Marine Terminal Operator to identify with clarity the party that is liable for the charge: "Otherwise one of the major purposes of the terminal tariff regulations-keeping the Commission and the public informed of terminal practices-could not be satisfied.").

The Commission has long held that tariff interpretation is governed by the "express language" of the tariff. *C.S.C. Int'l, Inc. v. Lykes Bros. Steamship Co., Inc.*, 20 F.M.C. 552, 555 (*citing Sacramento-Yolo Port Dist. v. Fred F. Noonan*, 9 F.M.C. 551, 558 (1966)); *Aleutian Homes Inc., v. Coastwise Line*, 5 F.M.C. 602, 608 (1959). Further, the express language should be construed reasonably, and without a strained or unnatural construction. *Johns-Manville Products Corp. Petition*

for Declaratory Order, 13 F.M.C. 192, 194 (1970) (citing *National Cable and Metal Co. v. American Hawaii S.S. Co.*, 2 U.S.M.C. 471, 473 (1941)).

Where provisions are ambiguous, the ambiguity must be construed against the tariff issuer. *Plaquemines*, at *37 (pg. 40) (“[T]he law requires that tariffs be clear and definite. If tariffs are ambiguous, they must be construed against the tariff issuer.”); *see also*, *Gulf Container Line v. Port of Houston*, FMC Dkt. No. 89-18, 1991 FMC LEXIS 107, at *7 (FMC May 3, 1991) (reiterating “the general rule of tariff construction that an ambiguous provision be construed against the maker of the tariff.”); *S.A. Chiarella dba S.A. Chiarella Forwarding Co. v. Pacon Express Inc.*, FMC Dkt. No. 1842(I), 2001 FMC LEXIS 41, at *3 (FMC Aug. 15, 2001)(finding that a provision explicitly failing to identify the party alleged to be liable to pay was not enforceable against such party, and further that “[e]ven if the tariff were ambiguous in any sense, a tariff’s ambiguity should be construed against [the issuer].”).

*a) The AMPORTS Schedule Assessed the \$25 Access Fee on
AMPORTS’ Ocean-Carrier or OEM Customers, Not Stevedores*

Rule 34 2 of the AMPORTS Schedule, titled “Access and Use,” is the principal rule at issue in this proceeding. PFF ¶ 115. Regarding the \$25 Access Fee, Rule 34 2, dated effective as of January 1, 2022 (the “2022 Rule 34 2”), provides in relevant part:

Any access to and/or use of the Terminal and/or the Services of Terminal Operator whatsoever by or on behalf of Customer shall be deemed Customer's express agreement with the provisions set forth in this Schedule, including without limitation the security provisions contained herein, and the access and use provisions of this Section. Terminal Operator may request that Customer sign a separate, written Access Agreement, prior to such access/use or otherwise, in which event the signed, written agreement shall be deemed incorporated herein and applicable concurrently with this Schedule, with the provisions of the signed, written agreement to supersede the provisions of this Schedule to the extent of any direct conflict but no further.

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(a)(1) Except as stated in (a)(2) below, all access to and/ or use of the Terminal and/or the services of Terminal Operator by or on behalf of Customer is agreed to be non- exclusive and for the limited purpose requested by Customer and

agreed by Terminal Operator. Customer understands and acknowledges that activities by Terminal Operator and others will be on-going at the Terminal, and that such activities may be dangerous to those participating and others. Customer, including its employees, subcontractors, agents and invitees, agrees to not interfere with any operations being conducted at the Terminal and to not create any danger or safety hazard whatsoever at the Terminal. Unless otherwise specifically agreed by Terminal Operator in advance, all access and use of the Terminal shall be restricted to normal working hours.

(a)(2) Exclusive License for Ro/ro Unloading Services.

(i) Terminal reserves the right to enter into exclusive arrangements ofr [sic] the provision of handling services at the Terminal ("Exclusive License").

(ii) After a competitive bidding process, Terminal has granted an Exclusive License to Ceres Terminals, Incorporated ("Service Provider"), a company incorporated under the laws of Delaware, to provide unloading services for all roll-on/roll-off ("Ro/ro") Motor Vehicle cargo at the Terminal.

(iii) Service Provider will provide such Ro/ro unloading services pursuant to direct agreements to be entered between Service Provider and specific recipients of Ro/ro unloading services ("Customer"). If a customer would like to continue to use their current partnership with another stevedoring company, they will be able to do so by paying a \$25.00 per unit fee. All stevedoring activities not performed by Ceres must be approved by AMPORTS COO 14 days before vessel activities.

CX_01928, June Amendment to Schedule.

We address the “express language” first. “Customer” is specifically defined in the 2022 AMPORTS Schedule Rule 34 2(a)(2)(iiii) as the “specific recipients of Ro/ro unloading services.” PFF ¶ 122. AMPORTS testified that the quoted language means the ocean carrier and/or the OEM customer of AMPORTS. CX_00243, AMPORTS 143(b)(6) Dep. Tr. 206:2-16. The Rule states that AMPORTS granted an “exclusive license” to Ceres Terminals, Incorporated, defined as the “Service Provider,” to provide unloading services for all ro/ro Motor Vehicle cargo at the Terminal, and states that the Service Provider and Customer contract directly for stevedoring services. The \$25 Access Fee also appears in Rule 34 2(a)(2)(iii), providing an alternative option for a customer that chooses to not use the Service Provider (the preferred stevedore): “If a customer would like to continue to use their current partnership with another stevedoring company” they can choose to use their current

stevedoring company by paying a \$25 per unit fee. It is clear from the plain language of 2022 AMPORTS Schedule Rule 34 2 that the “customer” for the purposes of 2022 AMPORTS Schedule Rule 34 2 is *not* a stevedore. It is also clear that a customer has the option to use a non-preferred stevedore by paying a \$25 per unit fee.

AMPORTS nevertheless has argued that the \$25 Access Fee was intended to be assessed against the non-preferred stevedore, not the “customer,” relying on a strained interpretation of the word “they” in the following sentence in Rule 34 2(a)(2)(iii):

If a customer would like to continue to use their current partnership with another stevedoring company, they will be able to do so by paying a \$25.00 per unit fee.

PFF ¶ 123. Notwithstanding AMPORTS’ concession that the “customer” in 2022 AMPORTS Schedule Rule 34 2 is the ocean carrier and/or the OEM, AMPORTS argues that pronoun “they” in the second clause refers to “another stevedoring company.” PFF ¶ 124.

The first problem with AMPORTS argument is that the express language of the sentence does not say what AMPORTS argues. AMPORTS could have written the 2022 AMPORTS Schedule Rule 34 2 differently at the time, but it cannot retroactively re-write it now.

The second problem with AMPORTS’ argument is that as drafted, the pronouns “their” and “they” logically and grammatically refer to the “customer” as defined in 2022 AMPORTS Schedule Rule 34 2. The sentence has two clauses. The first clause (“If a customer would like to continue to use their current partnership with ...”) necessarily modifies the second clause (“they will be able to do so...”). The pronoun “their” in the first clause refers to the customer, the subject of the sentence, and because it is “*their* current partnership with another stevedoring provider.” The pronoun “they” in the second clause also refers to the subject in the first clause (a customer), and because it is the customer in the first clause that may make the decision (“to continue to use *their* current partnership

with another stevedoring company).”¹⁰ The natural and reasonable reading of “they” is that the customer that chooses to use their own stevedore will be able to do so by paying a \$25 fee. AMPORTS’ reading of “they” to mean “another stevedoring company” does not make sense and would have the unnatural result of applying to a stevedoring company making a decision to continue to use themselves for stevedoring, which is nonsensical: ocean carriers make the decision to contract to use or not use stevedores to load and unload cargo on their vessels, not the other way around.

AMPORTS’ third problem is that it’s interpretation would, at best, inject ambiguity into the tariff provision, in which case the ambiguity would be read against AMPORTS as the issuer of the AMPORTS Schedule. On that point, AMPORTS admitted in its Answer that its reading of the language and the word “they” as meaning “another stevedore” or a non-preferred stevedore, and not an ocean carrier customer “may have been somewhat ambiguous.” *See* PFF ¶ 124; CX_00011-12, Complaint ¶ 38(e); CX_00030, Answer ¶ 38(e) (admitting). And AMPORTS’ former CEO Steven Taylor testified that AMPORTS’ interpretation of the same language in the November 1, 2022 Announcement letter was “probably not as clear here,” and he further testified that the same three “they” pronouns in 2022 AMPORTS Schedule Rule 34 2(a)(2)(iii) that AMPORTS’ interpretation relies on were not clear either. CX_00681; CX_00725-26, Taylor Dep. Tr. 146:4-15; 190:22-191:1.

It is notable that AMPORTS did not raise its strained interpretation until long after the November 1, 2022 announcement of the preferred stevedoring arrangement. Even though AMPORTS first included materially similar language in its November 1, 2022 announcement letter (“Announcement Letter”), and Complainants would have been the only “non-preferred” stevedores

¹⁰ Although the precise grammatic structure is not necessary to read the sentence, the sentence is a conditional imperative sentence (a sentence that has a cause and effect). The first clause is a conditional adverbial clause (beginning with “if”), which is a dependent clause (adverbial clauses are dependent clauses by their nature, and because like all dependent clauses, the first clause would not constitute a complete sentence on its own). An adverbial clause modifies the verb of the main clause, which in this case is the imperative verb phrase (a verb phrase telling the subject what to do) “will be able to do so...” The phrase “by paying the \$25 per unit fee” is an adverb phrase (telling the subject how to do the thing) modifying the imperative verb phrase. The subject of the main clause is the person being told what to do, which in this sentence is the “customer.”

operating in Baltimore, the Announcement Letter was sent to AMPORTS' customers, but was not sent to any non-preferred stevedore. PFF ¶ 90; CX_01359, AMPORTS 143(b)(6) Dep. Ex. 22; CX_01360, AMPORTS 143(b)(6) Dep. Ex. 23; CX_00431, B. Buben Dep. Tr. 104:19-21. Numerous AMPORTS customers, as well as Ports America, promptly wrote to AMPORTS objecting to the Access Fee, and among other things, expressly requesting that AMPORTS indicate how and from whom AMPORTS intended to collect the Access Fee. *See* PFF ¶ 145; CX_01367; CX_01371; CX_01380, AMPORTS 143(b)(6) Dep. Exs. 26, 28, 30.

Counsel for AMPORTS responded to Complainants protest letter with a brief, one page letter on December 29, 2022, noting that it had received other inquiries about the Announcement Letter, that it would be preparing a "comprehensive response" to the protest letters, and that AMPORTS would "temporarily suspend the collection of the \$25 per unit fee." PFF ¶ 97; CX_02037, APS_0118 (collection of the Access Fee would otherwise have commenced on January 1, 2023). The letter did not provide any additional information about the assessment or collection of the Access Fee.

AMPORTS did not respond again until three months later, by letter from counsel dated March 31, 2023. PFF ¶ 101; CX_01520, Beall Dep. Ex. 14. In that letter, AMPORTS for the first time stated that it was intending to assess the Access Fee on Complainants, stating that:

We...wish to correct any misunderstanding concerning the November 1, 2022 announcement (the "Announcement"). We think it important to advise upfront that the \$25/unit fee is a charge that will be assessed to any unlicensed stevedore company for access to AMPORTS' facilities and it is not a charge payable by our carrier customers. We appreciate that the use of the term "they" in the Announcement may have been somewhat ambiguous.

PFF ¶ 101; CX_01520, Beall Dep. Ex. 14. Notably, counsel also conceded that AMPORTS' interpretation of the language was "somewhat ambiguous." PFF ¶ 101; CX_01520, Beall Dep. Ex. 14. The letter also set a new start date to commence the previously suspended Access Fee collection, April 10, 2023. PFF ¶ 101. Inexplicably, the letter also stated that "[w]e are advised that Ports America has accrued approximately USD \$1.2 million in fees since January 1, 2023," despite in the

same letter setting the April 10, 2023 date to start collections that were suspended per the December 29, 2022 letter, and despite having just asserted for the first time that it would seek collection from Ports America. PFF ¶ 101.

Counsel for Ports America responded by letter on April 13, 2023, vigorously objecting to, among other things, AMPORTS' new interpretation and intent to charge Ports America, noting specifically the lack of a legal basis to assess charges on Ports America, and further rejecting AMPORTS' assertion that Ports America had "accrued" Access Fees before AMPORTS commenced collection on April 10, 2023. CX_02039, APS_0129-30, n.1 and n.2. AMPORTS did not issue any invoices for Access Fees until after collection commenced on April 10, 2023. PFF ¶¶ 132-133, 136; CX_00996-97, Beall Dep. Tr. 102:13-103:7. When invoices dated April 17, 2023, covering purported charges for the period commencing January 2023, were subsequently retroactively bulk-billed, Ports America expressly rejected them, again noting the lack of a legal basis to assess charges on Ports America. PFF ¶ 138; CX_00014, Complaint, Attachment B; CX_00999-1000, Beall Dep. Tr. 105:15-106:5; CX_01519, Beall Dep. Ex. 12.

Despite the repeated objections that AMPORTS' attempt to charge Ports America lacked a legal basis, *e.g.*, Ports America was neither party to a bilateral agreement, nor did the terms of the AMPORTS Schedule as an implied contract assess the Access Fee against Ports America, and its own concessions that its reading of the language was ambiguous, AMPORTS did not amend the AMPORTS Schedule at any time until it rescinded the Access Fee on May 15, 2024. PFF ¶¶ 25, 116.

In the May 15, 2024 Amendment, despite rescinding the \$25 Access Fee, AMPORTS nevertheless amended Rule 34 2 (a)(2) to provide that AMPORTS might implement a new "Terminal Access Charges" in the future, and if so, that they would be "imposed ... on stevedoring services providers."

(a)(2) Ro/ro Unloading and Loading Services.

(i) Terminal does not currently provide Ro/ro unloading and loading services (i.e. stevedoring services) at the Terminal[.][sic] Vessel-related Customers may obtain such services with stevedoring service providers.

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(iii) Terminal Operator reserves the right to impose Terminal Access Charges on stevedoring services providers in such amounts as Terminal Operator deems appropriate upon 10 days' prior notice.

PFF ¶ 117; CX_01388, May 2024 Amendment to Schedule, Rule 34 2 (effective date: May 15, 2024).

Thus, in the May 15, 2024 Amendment, AMPORTS expressly said what the prior version of Rule 34 2 clearly did not: that an access fee would be “imposed on stevedoring services providers.” PFF ¶ 117.

AMPORTS further changed the language of Rule 34 2 less than two weeks later, imposing a new \$10 per unit Access Fee, effective June 1, 2024, and using yet another formulation of the language not present in the 2022 AMPORTS Schedule Rule, this time providing that “[s]tevedoring service providers will be assessed an access fee of ten dollars (\$10.00)...” and that “Payment of the access fee is due within 15 days of receipt of the invoice.” PFF ¶ 119; CX_01928, June Amendment to Schedule.

The reality is that the \$25 Access Fee in the original Rule 34 2 referred to payment by the customer as defined in that Rule, *not* non-preferred stevedores. AMPORTS did not express a different view at the time, and indeed AMPORTS did not advance its interpretation attempting to charge non-preferred stevedores instead of its customers until four months after the language appeared in its November 1, 2022 Announcement Letter. The interpretation is strained, would yield implausible results, and relies on reading ambiguity into the provision—ambiguity that AMPORTS has admitted and indeed conceded in its Answer in this proceeding. That is why AMPORTS materially amended the applicable Rule twice in May 2024 in an effort to actually assess access fees on stevedores—notably the first time stevedores have been subject to any fee or charge in the

AMPORTS Schedule. But none of that helps AMPORTS with respect to its attempt to collect the \$25 Access Fee from Complainants for the period of (1) January 1, 2023 to April 10, 2023, when AMPORTS agreed to suspend collection regardless of the language in the AMPORTS Schedule, and (2) for the period of January 1, 2023 to May 15, 2024, when the AMPORTS Schedule simply did not assess the Access Fee on Complainants in compliance with the FMC's requirements for tariff schedule charges. Purporting the charge the \$25 Access Fee to Complainants, or seeking to invoice or collect it from Complainants, is unreasonable and unlawful and AMPORTS should be ordered to cease and desist from any further charging, invoicing, or collection efforts in connection with the \$25 Access Fee.

4. AMPORTS' Access Fee and Preferred/Non-Preferred Stevedoring Practices Unreasonably Interfered with PAC and MTCE Agreements and Business Relations, and the Rights of Ocean Carriers to Select Their Own Stevedores in Violation of 46 U.S.C. § 41102(c)

The record establishes that AMPORTS' conduct unreasonably interfered with Complainant's contractual rights and business relations and unreasonably interfered with the rights of Complainants, and Complainants' ocean carrier customers, to choose their own stevedores.

A wide range of conduct has been found to constitute unreasonable practices under the Shipping Act, including conduct that in fact or in substance would violate other statutes or legal principles, so long as the conduct fails to meet the standard for reasonable practices under the Shipping Act. *See, e.g., Gulf Container Line v. Houston*, FMC Dkt. No. 89-18, 1991 LEXIS 107 (FMC May 3, 1991) (upholding unreasonable practice violation in connection with requiring terminal user to pay for third party services not received by the payor, and rejecting arguments that the practice at issue was not unreasonable because it did not meet the specific legal requirements for an unlawful anti-trust tying arrangement); *see also Bernard & Welcraft Welding Equip. v. Supertrans Int'l, Inc.*, FMC Dkt. No. 02-12, 2003 WL 136313, at *8 (ALJ Jan. 8, 2003) (finding that respondent's

“interfere[nce] with the contractual rights of the buyer and seller” without a valid legal excuse constituted an unreasonable practice violation).

Wrongful interference with contractual rights or business relationships can include inducing the breach of existing contracts or more broadly, maliciously or wrongfully interfering with economic relationships. *See Alexander & Alexander Inc. v. B. Dixon Evander & Assocs., Inc.*, 336 Md. 635, 650 (1994). A claim for wrongful interference under Maryland law generally requires “(1) [t]he existence of a contract or a legally protected interest between the plaintiff and a third party; (2) the defendant's knowledge of the contract; (3) the defendant's intentional inducement of the third party to breach or otherwise render impossible the performance of the contract; (4) without justification on the part of the defendant; (5) the subsequent breach by the third party; and (6) damages to the plaintiff resulting therefrom.” *Painter's Mill Grille, LLC v. Brown*, 716 F.3d 342, 353–54 (4th Cir. 2013) (quoting *Blondell v. Littlepage*, 185 Md.App. 123, 968 A.2d 678, 696 (2009) (internal quotation marks omitted), *aff'd*, 413 Md. 96, 991 A.2d 80 (2010)). Courts have held that the element of breach can be satisfied where the defendant’s interference prevented either party from performing the contract or caused his performance to be more expensive or burdensome. *Fairfield Six/Hidden Valley P'ship v. Resol. Tr. Corp.*, 860 F. Supp. 1085, 1090, 1090 n.7 (D. Md. 1994). And further, that “inducement of either a breach or a termination without breach can be actionable.” *Webb v. Green Tree Servicing, LLC*, No. CIV.A. ELH-11-2105, 2011 WL 6141464, at *6 (D. Md. Dec. 9, 2011).

AMPORTS was aware that the “non-preferred stevedores” had long-term agreements and business relationships with ocean carriers for vehicle stevedoring at AMPORTS’ terminals in Baltimore. PFF ¶ 140; CX_00196-97, AMPORTS 143(b)(6) Dep. Tr. 159:9-11. AMPORTS intentionally interfered with Complainants’ agreements and business arrangements, both inducing breach of agreements and rendering performance impossible. During the time period relevant in this proceeding, the only stevedores loading or unloading automobile cargo at AMPORTS’ terminals

were Ceres, PAC, and MTCE. PFF ¶ 139; CX_00117-118, AMPORTS 143(b)(6) Dep. Tr. 80:22-81:1. Accordingly, AMPORTS understood prior to January 1, 2022, and prior to the date AMPORTS sent its November 1, 2022 Announcement Letter, that Complainants were the only likely “non-preferred stevedores” potentially operating at AMPORTS’ terminals in Baltimore. PFF ¶¶ 105, 139; CX_00117-118, AMPORTS 143(b)(6) Dep. Tr. 80:22-81:1. AMPORTS also knew, or should have known, that assessing much higher fees on non-preferred stevedores than on its preferred stevedore would result in Complainants losing stevedoring business previously performed for ocean carriers loading and discharging cargo at the AMPORTS terminals. Indeed, that was a primary objective of AMPORTS’ preferred stevedoring and Access Fee initiative—to cause ocean carriers using non-preferred stevedores, i.e., Complainants, to shift their business to the preferred stevedore, Ceres.

To facilitate ocean carriers’ business decisions regarding stevedoring, AMPORTS and the preferred stevedore had an understanding that the preferred stevedore would honor existing rates that PAC and MTCE had with their ocean carrier customers if the carriers switched their business from Complainants to Ceres. PFF ¶ 141; CX_00196-97, AMPORTS 143(b)(6) Dep. Tr. 159:9-11. AMPORTS’ affirmatively promoted that understanding to ocean carriers and its OEM customers. PFF ¶¶ 89-90; CX_01359, AMPORTS 143(b)(6) Dep. Ex. 22. In its negotiations with the preferred stevedore over the rates that the preferred stevedore would pay AMPORTS, AMPORTS stated that “[w]e will be handing a book of business to the new partner.” PFF ¶ 142; CX_01306, AMPORTS 143(b)(6) Dep. Ex. 7., *i.e.*, AMPORTS was expecting that its arrangement with the preferred stevedore in concert with the \$25 Access Fee would in effect put AMPORTS in the position of directing Complainants’ business, and the associated economic value thereof, to a competitor of Complainants. PFF ¶ 144; CX_00145-46, AMPORTS 143(b)(6) Dep. Tr. 108:4-109:7; CX_01306, AMPORTS 143(b)(6) Dep. Ex. 7. AMPORTS also took an active role in coordinating between Ceres and OEM customers to obtain Ports America business. Stellantis, an OEM customer, asked

AMPORTS for help getting Ceres to match Ports America's lower stevedoring rates for the vessels carrying Stellantis vehicles. CX_01384, AMPORTS 143(b)(6) Dep. Ex. 31. AMPORTS then communicated the request to Ceres to see if they could "reach out and come to an agreement?", which if successful would result in Ports America losing that business. CX_01384, AMPORTS 143(b)(6) Dep. Ex. 31.

Several ocean carriers expressly objected to AMPORTS' Announcement Letter on the basis that AMPORTS was improperly seeking to co-opt the ocean carrier's choice of stevedores and that AMPORTS was improperly interfering with existing agreements and business relations between the ocean carriers and Complainants. And after entering into the preferred stevedoring agreement, AMPORTS communicated and engaged with OEM customers and ocean carriers to facilitate Ceres obtaining stevedoring business from Complainants. CX_01384, AMPORTS 143(b)(6) Dep. Ex. 31. Complainants' similarly objected. AMPORTS nevertheless knowingly proceeded with its contemplated actions.

AMPORTS' interference was not justified. AMPORTS does not perform, nor does it hire or contract for, stevedoring services in Baltimore. PFF ¶ 23; CX_00104, AMPORTS 143(b)(6) Dep. Tr. 67:1-3; CX_00793, Molyneaux Dep. Tr. 41:6-12. AMPORTS does not provide any stevedoring equipment or specialized infrastructure that stevedores use to perform stevedoring services on AMPORTS terminals in Baltimore (*e.g.*, such as cranes or cargo moving vehicles). PFF ¶ 24; CX_00811-12, Molyneaux Dep. Tr. 58:13-59:25. Carriers calling at AMPORTS' terminals in Baltimore hire their own stevedores to load and discharge automobile cargo. PFF ¶ 26; CX_00786-87; CX_00822, Molyneaux Dep. Tr. 33:17-34:6; 69:10-23. Complainants and AMPORTS are not party to any bilateral contracts for stevedoring services. PFF ¶ 25; CX_00706, Taylor Dep. Tr. 171:1-10. Complainants load and unload vehicle cargo at the AMPORTS terminals in their capacity as subcontractors to their ocean carrier customers delivering vehicle cargo to AMPORTS for

processing. PFF ¶¶ 13, 26; CX_00786-87; CX_00822, Molyneaux Dep. Tr. 33:17-34:6; 69:10-23. And AMPORTS has virtually no substantive involvement with Complainants' stevedoring services to ocean carriers taking place between the vessel and the first point of rest for cargo on the terminal. CX_00834; CX_00848, Molyneaux Dep. Tr. 81:15-24; 95:2-5. Before the instant attempt to charge Complainants the Access Fee, AMPORTS never assessed or collected any fees or charges under the AMPORTS Schedule from stevedores hired by ocean carriers to load and discharge vehicle cargo at the terminals. PFF ¶ 130; CX_00285-86, AMPORTS 143(b)(6) Dep. Tr. 248:17-249:14.

As set forth more fully in Section VI(a), *supra*, as a result of AMPORTS' unreasonable conduct, ocean carriers ceased performance under agreements and business arrangements with Complainants and AMPORTS' interference with Complainants' agreements and business relations in fact resulted in Complainants losing existing business to the preferred stevedore, and the ocean carriers losing the right to choose their own stevedores. AMPORTS' actions were not justified by legitimate facts and circumstances bearing on the stevedoring services in this case or recognized under the Shipping Act, and as such AMPORTS' conduct and interference should be found unreasonable and in violation of the Shipping Act.

B. Unreasonable Preference and Prejudice in Violation of 46 U.S.C. § 41106(2)

1. AMPORTS' Preferred and "Non-Preferred" Stevedore Policy and Practice and Related Access Fees Unreasonably Prejudiced and Disadvantaged Complainants in Violation of 46 U.S.C. § 41106(2)

An unreasonable preference or prejudice claim under Section 41106(2) has four elements: "(1) two parties are similarly situated or in a competitive relationship, (2) the parties were accorded different treatment, (3) the unequal treatment is not justified by differences in transportation factors, and (4) the resulting prejudice or disadvantage is the proximate cause of injury." *Ceres Marine Terminal, Inc. v. Maryland Port Admin.*, 1997 WL 35281266 *31 (F.M.C. Oct. 10, 1997).

Although showing that two parties are similarly situated or in a competitive relationship is not always required, Complainants and Ceres are both ro/ro stevedores, both perform vehicle stevedoring in the Port of Baltimore and at AMPORTS' terminals, and they are commercial, business competitors. AMPORTS has clearly afforded differing treatment to Ceres and Complainants, to wit, excluding Complainants from AMPORTS' purported "competitive bidding" process, and invoicing Ceres [REDACTED] per car to access the terminals and while invoicing Complainants \$25. Having established differing treatment, the burden shifts to AMPORTS to justify, if it can, the difference in treatment based on legitimate transportation factors. *Id.* at *33; *Cargill, Inc. v. Waterman Steamship Corp.*, 24 F.M.C. 442, 461-62 (1981).

AMPORTS has offered a litany of overlapping, incomplete, *post hoc*, and in some instances internally inconsistent, purported justifications for its preference to Ceres and prejudice to Complainants. However, the only justifications that matter for the purposes of the Shipping Act are (i) actual justifications for the differential treatment that (ii) are based on legitimate transportation factors within the meaning of the Shipping Act. AMPORTS' proffered justifications fall far short of what is required to justify the differing treatment, and moreover, the record in this proceeding shows in key respects that AMPORTS' actions were not justified.

a) AMPORTS' "Competitive Bidding" Process and Preferred and Non-Preferred Stevedoring Program Was Not Competitive and Unreasonably Preferred Ceres and Others and Unreasonably Prejudiced Complainants in Violation of 46 U.S.C. § 41106(2)

AMPORTS unreasonably excluded Ports America from consideration in AMPORTS' purported "competitive bidding" process for preferred stevedoring in Baltimore, MD. Responding to an Interrogatory in this proceeding asking how AMPORTS determined stevedore interest in the purported "competitive bidding" process, AMPORTS stated that "Respondent conveyed by email to several stevedoring companies who respondent understood to be stevedores in the Baltimore, MD area with adequate safety, performance, and administrative programs and invited them to bid on the

opportunity....” PFF ¶ 57; CX_01506, AMPORTS 143(b)(6) Dep. Ex. 39, Interrogatory Response No. 7B. That is not what happened.

Complainants were never contacted by AMPORTS about their interest or qualifications. PFF ¶V 43, 48; CX_00150-51, AMPORTS 143(b)(6) Dep. Tr. 113:15-114:6; CX_00390-91, Buben Dep. Tr. 63:7-64:2. And Complainants were never invited to bid. PFF ¶¶ 44, 48. Instead, Ben Buben decided to exclude Complainants from consideration early in the process in November or December 2021. PFF ¶ 35; CX_00371-73, Buben Dep. Tr. 44:1-46:1.

Three executives were responsible for AMPORTS’ preferred stevedoring and Access Fee project: Former CEO Steven Taylor, current CFO Jacob Brown, and former COO Ben Buben, with Mr. Buben in the lead role. PFF ¶ 30; CX_01282, AMPORTS 143(b)(6) Dep. Ex. 3; CX_00103, AMPORTS 143(b)(6) Dep. Tr. 66 :13-18. In their depositions in this proceeding they offered remarkably conflicting and internally inconsistent stories about why Complainants were excluded from consideration in the “competitive bidding” process. None offered legitimate justifications for excluding Ports America, and the evidence in the record shows that the various reasons they proffered were either not the actual reasons, or could not have been the actual reasons.

(i) Jacob Brown

According to the binding testimony of AMPORTS’ corporate representative and current CFO, Jacob Brown, the sole proffered basis for AMPORTS’ decision to exclude Complainants was alleged safety concerns, which he testified was based on discussions that former COO Ben Buben allegedly had with “local ILA” where the undisclosed local ILA longshoreman “did not have a favorable opinion of Ports America [] with regard to safety concerns.” CX_00149-50, AMPORTS 143(b)(6) Dep. Tr. 112:23-113:6. But that testimony on behalf of AMPORTS was not corroborated by Ben Buben, who mentioned speaking with ILA longshoreman, but did not recall discussing anything about Complainants’ safety with the ILA. CX_00375, Buben Dep. Tr. 48:2-19.

(ii) *Ben Buben*

Ben Buben testified that Ports America was excluded from consideration “[b]ecause after talking to my local management team, reviewing video footage of unreported accidents by Ports America on our terminal, and speaking with local ILA membership, I just felt that the Ports America leadership was not something that we wanted to partner with.” CX_00371, Buben Dep. Tr. 44:7-13. That decision was on or about November or December 2021. PFF ¶ 33; CX_00376-78, Buben Dep. Tr. 49:5-51:22. None of the three reasons offered by Mr. Buben were substantiated in the record, and indeed, the record shows that they are not in fact substantiated at all.

(1) As to Mr. Buben’s reference to “local ILA membership,” he said that he spoke with some stevedores—“just some local people on the ground”, and when asked to elaborate, he testified that he did not recall discussing anything specific to Ports America, about safety or otherwise. CX_00375, Buben Dep. Tr. 48:2-19. Thus, on its face, Mr. Buben’s testimony does not substantiate that talking with local ILA stevedores provided any basis to question Ports America’s safety record or qualifications.

But even if a local ILA stevedore on the ground in Baltimore had said something about Ports America’s safety to Mr. Buben—an AMPORTS’ senior corporate executive based in the Jacksonville corporate headquarters—presumably while visiting the terminal, if Mr. Buben was considering relying on *ad hoc* information to make a significant corporate decision, it would be reasonable to expect that Mr. Buben would have sought input from ILA safety leadership. If he had, he would have learned that ILA safety leadership has regular monthly Accident Review Committee safety meetings with Ports America, that Ports America’s Health and Safety Manager interacts with ILA safety leadership regularly, and interacts with ILA members on safety matters on a daily basis. PFF ¶ 54; CX_01240-43, Bevilacqua Dep. Tr. 39:8-42:13; CX_00978-79, Beall Dep. Tr. 84:4-85:1. And he also would have learned that Ports America has regular port-wide safety meetings—“quality cargo

handling assessment team” or “QCHAT” meetings with the Maryland Port Administration involving industry stakeholders, including other stevedores, cargo interests, the Coast Guard, and the ILA, at which Ports America openly shares its “very transparent safety record.” PFF ¶ 55; CX_01093-94; CX_01096, Schmidt Dep. Tr. 54:11-55:21; 57:9-13. That safety record, specifically the lost time injury frequency rate, is .64 or .69, which “means [Ports Americas safety rating is] world-class. It's probably the best in our industry.” PFF ¶ 53; CX_01154, Schmidt Dep. Tr. 115:6-22.¹¹

In any event, since Mr. Buben did not discuss anything about Ports America’s safety with local ILA stevedores, perhaps that is why he did not talk with ILA safety leadership or raise anything with Ports America either. Ports America witnesses testified that if the ILA or AMPORTS had safety concerns with Ports America, Ports America would have expected them to raise them, and that there was ample opportunity for the ILA or AMPORTS to do so, but no safety complaints were communicated to Ports America from the ILA or AMPORTS: “Q...Has AMPORTS complained to Ports America Chesapeake or MTCE about stevedoring safety at any time? A Not that I'm aware of. No, none. Q Has the ILA complained to PAC or MTCE about their safety? A No. None.”. CX_01155, Schmidt Dep. Tr. 116:7-13.¹²

(2) As to Mr. Buben’s reference to speaking with the “local management team,” he elaborated that he was referring to speaking with the Terminal Manager of the Baltimore Terminal, George Molyneaux, and Mr. Molyneaux’s local management team in Baltimore. CX_00371, Buben Dep. Tr. 44:14-23. Mr. Buben testified that the only substance that he discussed with the local management team was “reviewing video footage of accidents the happened by Ports America, that

¹¹ “Q Okay. Do you know if Ports America has as good or better injury frequency rate than Ceres? A I would say it's better. Q What's it better than? A Better than Ceres.” *Id.*

¹² Ports America has in place a comprehensive safety onboarding and training program in place, as explained in detail by John Bevilacqua, Ports America’s Director of Health, Safety, and Sustainability. CX_01221-22; CX_01225-29, Bevilacqua Dep. Tr. 20:10-21:20; 25:16-28:12.

were undocumented to AMPORTS and caused damage to our property. Q Anything else? A No.” PFF ¶ 35; CX_00372, Buben Dep. Tr. 45:8-13.

Mr. Molyneaux recalled the two videos: one involving a car being loaded/driven by longshoreman to a vessel that hit a light pole on the AMPORTS lot and the other involving a van bumping another vehicle. CX_00831, Molyneaux Dep. Tr. 78:12-19. Mr. Buben and Mr. Molyneaux did not discuss that the corporate office was contemplating a preferred stevedoring program for Baltimore, and they did not discuss stevedore safety data, even though the Baltimore terminal had stevedoring safety data available if Mr. Buben had wanted to look at it. PFF ¶ 32; CX_00371-72, Buben Dep. Tr. 44:14-45:23; CX_00373-74, Buben Dep. Tr. 46:24-47:6 “Did you review that information in connection with the decision of who to consider for exclusive stevedoring? A No. That's reviewed monthly as a best practice, but it wasn't used for this.” Indeed, even though Mr. Molyneaux managed the terminal in Baltimore and was knowledgeable about local terminal operations, Mr. Molyneaux testified that neither he, nor his local team, were part of the preferred stevedore program decisions for Baltimore. CX_00842-43, Molyneaux Dep. Tr. 89:19-90:18. He testified that he was not even aware of the preferred stevedoring program until after he received the November 1, 2022 Announcement Letter from Mr. Buben. CX_00842-43, Molyneaux Dep. Tr. 89:19-90:4. By that time the preferred stevedoring decision had been made by the AMPORTS’ corporate office.¹³

(3) As to Mr. Buben’s reference to reviewing the two videos, which by process of elimination is the only independently substantive reason of the three he gave, reviewing those videos *could not* have been the basis for Ben Buben’s decision to exclude Ports America from consideration in

¹³ Mr. Molyneaux testified that he was surprised when he found out that AMPORTS had agreed to the preferred stevedore and the \$25 Access Fee. CX_00843, Molyneaux Dep. Tr. 90:5-18. He did not know why the corporate office had not consulted the terminal about it, and when asked if he thought it was something that he might have been consulted about given his position as General Manager of the terminal, he testified “[y]es and no. [It’s the] corporate office, so they can do whatever they want.” CX_00843, Molyneaux Dep. Tr. 90:5-18.

November or December 2021. The videos were produced by AMPORTS in this proceeding, designated with the filenames: “Mech Shop wall 2022_05_31_3PM_12_04.avi” and “Mitchell Pier 2023_04_18_1PM_35_18.avi”. PFF ¶ 36. As indicated in the filenames, and corroborated in the time and date stamps appearing in each video, the events depicted took place on May 31, 2022 and April 18, 2023. PFF ¶ 37. The events in both videos occurred *after* Mr. Buben decided to exclude Ports America from consideration, and both events occurred *after* AMPORTS circulated its “competitive bidding” process RFQ for Baltimore on March 9, 2022. PFF ¶¶ 37, 39. Neither event, nor reviewing the videos of them, could have been the basis for Mr. Buben’s actual decision to exclude Ports America in late 2021.

In any case, the videos do not demonstrate that Ports America’s stevedoring was “unsafe” or that Ports America failed to report AMPORTS property damage incidents that it knew about. The April 2023 incident was immediately reported to the ocean carrier (MOL), and Ports America proposed and instituted a corrective action plan to better mark the obstructions on AMPORTS’ terminal. CX_01540, Schmidt Dep. Ex. 7. The evidence and testimony also show that AMPORTS property was not damaged by the very low impact incident. CX_01551, Schmidt Dep. Ex. 8; CX_01148-49, Schmidt Dep. Tr. 109:21-110:1. The May 2022 event, occurring at 12:25 PM during the ILA lunch hour, did not take place during an active cargo stevedoring operation and, as is apparent in the video, no one else was around to see it--unlike the other incident that occurred during an active stevedoring operation with three Ports America safety superintendents onsite. Had Ports America known of the incident at the time it would have been reported in its Intelex reporting system, but no record of that incident was contained in the Intelex or other reports records produced in this proceeding. CX_00950, Beall Dep. Tr. 56:3-17. Thus, while AMPORTS apparently knew about it, AMPORTS failed to inform Ports America about it to enable Ports America to evaluate and take any corrective action.

(iii) *Steven Taylor*

The story from former CEO Steve Taylor does not add up either. He testified that the reason for excluding Ports America was, purportedly, issues with speeding and not cleaning up around the terminal, information he said he got from Ben Buben, who in turn was supposed to have gotten it from “local management,” *i.e.* George Molyneaux. CX_00597; CX_00599-600, Taylor Dep. Tr. 62:8-19; 64:14-65:12. But that was not what Ben Buben said, nor George Molyneaux, who recalled a speeding incident that involved Ceres, not Ports America. CX_00832, Molyneaux Dep. Tr. 79:19-25.

What the evidence actually shows is that AMPORTS’ purported reasons for excluding Complainants at the time the decision was made were *post hoc* rationalizations presented in this proceeding that (1) *could not have been* the basis for any decision in late 2021, (2) were in any event not substantiated by evidence in the record, and (3) do not in substance justify that AMPORTS had a legitimate safety or damage reporting related reason for excluding Ports America from the “competitive bidding” process at the time, or thereafter. Ben Buben’s actual reason for excluding Complainants at the time may never be known—likely due in no small part to the remarkable paucity of contemporaneous emails or written communications that might have shed more light on the issue if such records had existed. But it is nevertheless clear that the actual reason was *not* the patently *post hoc* assertions of unsubstantiated concerns about safety of a stevedore with a world class safety record and extensive safety and reporting program and policies. That is especially so given that AMPORTS had stevedoring safety data that it did not use to evaluate stevedoring safety for the “competitive bidding” process, and where AMPORTS did not even ask stevedores about safety in the RFQ.

Post hoc rationalizations, such as those proffered by AMPORTS, are not considered legitimate justifications for differential treatment in violation of the Shipping Act. In *Santa Fe*

Discount Cruise Parking, Inc. v. The Board of Trustees of The Galveston Wharves, the Respondent cruise ship terminal operator's tariff imposed access fees on certain vehicles accessing the terminal to drop off passengers. 2021 WL 1575018 *1 (F.M.C. Apr. 16, 2021). In that case, the terminal operator charged complainants a per-vehicle/parking space fee to access the terminal, but other vehicles accessing the terminal were charged a different rate (or were not charged for access). *Id.* at 14-15. The terminal operator sought to justify the different treatment based on events occurring after the decisions and conduct at issue had occurred. In holding that the different treatment violated Section 41106(2), the Commission rejected the terminal operators purported justifications based on events after the fact, stating that "[p]ost-hoc rationalizations are insufficient." *Id.* at *15; *see also All Marine Moorings, Inc. v. ITO Corp. of Baltimore*, FMC Dkt. No. 94-10, 1996 WL 264720 *5 (FMC May 15, 1996) (affirming the initial decision, and noting the ALJ's finding disregarding a purported justification that "appears to be mainly a *post-hoc* rationalization ...").

One reason that *post-hoc* rationalizations are discredited is because, by their nature, they are not in fact the actual reasons at the time purportedly justifying the allegedly unlawful conduct, and it is the respondent's burden to establish that its actions were justified by legitimate reasons. *Post hoc* rationalizations are also discredited because, even if a *post hoc* reason might seem plausible or reasonable in isolation, the actual reason still may not have been a legitimate justification for the conduct under the Shipping Act, *i.e.*, the reason may be a pretext. Sorting out actual reasons from pretextual ones is a common issue in employment discrimination cases, and while labor statutes are not the same as the Shipping Act, how courts have evaluated pretextual justifications is instructive.

Most obviously, proffered reasons that lack factual veracity are not credible. *See, e.g., Haire v. Board of Sup'rs of La. State Univ. Agricultural & Mech. Coll.*, 719 F.3d 356, 365 n.10 (5th Cir. 2013) (reversing summary judgement in a discrimination case, where "[e]vidence demonstrating that the employer's explanation is false or unworthy of credence). Here, reviewing the two videos was

not in fact the basis, or even part of the basis, for AMPORTS' earlier 2021 decision to exclude Ports America from the "competitive bidding" process.

Inconsistent explanations and statements about the purported reasons are also suspect. *See, e.g., Nasti v. CIBA Specialty Chem. Corp.*, 492 F.3d 589, 594 (5th Cir. 2007) ("A court may infer pretext where a defendant has provided inconsistent or conflicting explanations for its conduct."); *Burton v. Freescale Semiconductor, Inc.*, 798 F.3d 222, 235-36 (5th Cir. 2015) (reversing summary judgment for employer in discrimination case where two company witnesses gave different reasons for the decision at issue). Here, *all three* of the corporate executives responsible for the project gave different and conflicting reasons for the decision to exclude Ports America. And none of them, including the testimony of AMPORTS' corporate representative, gave reasons that were substantiated in the record, except for the fact that Ports America was, for some reason, excluded.

Overly subjective reasons, and lack of reasonable investigation or follow up about the reasons, are also suspect. *See, e.g., Ion v. Chevron*, 731 F.3d 379 (5th Cir. 2013) (failure to conduct even the most cursory investigation of a concern or seek a second opinion before taking action "calls into doubt [defendant's] reasonable reliance and good faith" on the purported concern and resulting action.). Here, even if Mr. Buben had heard something from a local ILA stevedore about Ports America's safety record, which he did not, before concluding that Ports America actually had safety issues warranting excluding Ports America from stevedoring at terminals where it has operated for years, he should have at least minimally followed up, whether by inquiring with ILA safety leadership, raising concerns with Ports America, or looking at the stevedore safety data that AMPORTS had with respect to both Ports America and Ceres. None of that was done.

Inconsistency of the reason given in the context of other conduct of the defendant is also suspect. *See, e.g., Miller v. Ill. Dept. of Transp.*, 643 F.3d 190 (7th Cir. 2011)(taking action against one party, but not taking similar action against another); *Tyler v. Unocal Oil Co. of Cal.*, 304 F.3d

379, 396 (5th Cir. 2002) (taking action against one party not consistent with the usual or stated policy or practice at issue). Here, AMPORTS' position that it excluded Ports America for safety/reporting related concerns is belied by AMPORTS' actual practice in the "competitive bidding" process with other stevedores, including that AMPORTS did not review or consider safety data of other stevedores at all, did not exclude any other stevedores from bidding for any reason, and sought to "keep its options open" by negotiating with bidders that it did not think were qualified for other reasons. PFF ¶¶ 50, 52, 56; CX_00166-67, AMPORTS 143(b)(6) Dep. Tr. 129:23-130:16 (testifying that AMPORTS did not think that a bidder, RedHook, had the capacity to perform as the preferred stevedore in Baltimore, but considering its bid anyway and continued negotiating with Redhook along with Ceres).

In sum, AMPORTS' *post hoc* safety related justification should be rejected, not only because it was not in fact the actual reason for its actions at the time, but also because it fundamentally lacks credibility and is not a sufficient basis to justify its conduct.

b) AMPORTS' Preferred and Non-Preferred Access Fees Unreasonably Preferred Ceres and Prejudiced Complainants in Violation of 46 U.S.C. § 41106(2)

The evidence in the record shows that there was no legitimate difference in the costs or services provided by AMPORTS to any stevedore, and no legitimate differences in the benefits provided to any stevedore by AMPORTS. There is no dispute that whatever actual costs or services AMPORTS provided to stevedores to access its terminals, if any, they applied equally to preferred and non-preferred stevedores. PFF ¶ 21; CX_00277, AMPORTS 143(b)(6) Dep. Tr. 240:2-18. The only difference with respect to preferred and non-preferred stevedores were (1) the preferential access and lower [REDACTED] rate accorded the preferred stevedore, and (2) AMPORTS' assertion of the illusory insurance and indemnification benefits from the preferred stevedore that AMPORTS already had from non-preferred stevedores via the AMPORTS Schedule, and that AMPORTS could have

required via its right to require a separate Access Agreement in the AMPORTS Schedule. In sum, there were no legitimate differences justifying a [REDACTED] rate for one stevedore and a \$25 rate for others.

AMPORTS advanced a plethora of purported reasons for the \$25 Access Fee it sought to apply only to Complainants as non-preferred stevedores in its responses to Interrogatories 17, 18, 19 and 20. *See* CX_01510-11, AMPORTS 143(b)(6) Dep. Ex. 39. In its response to Interrogatory No. 17, responding about the basis for the \$25 Access Fee, AMPORTS provided a laundry list of all the costs for maintaining, improving, and operating terminal facilities, including paving and lighting, security, maintenance, episodic costs of paving, snow removal, sweeping and potential litigation risks, presumably from stevedores. PFF ¶ 68; CX_01510, AMPORTS 143(b)(6) Dep. Ex. 39, at 9. And in Response to Interrogatories No. 19 and 20, responding on the costs and benefits purportedly provided to the party being charged the Access Fee, AMPORTS gave an even longer list of purported benefits, also including administrative costs, cargo tracking costs, security, etc. “without which,” AMPORTS states, “a stevedoring entity would not be able to carry out its operations.” PFF ¶ 68; CX_01510-11, AMPORTS 143(b)(6) Dep. Ex. 39, at 9-10. The evidence in the record shows that none of those proffered costs or benefits were actual or legitimate transportation justifications for the differential treatment of Complainants.

As to the Access Fee differential and costs and benefits, as discussed in Section IV(A), *supra*, AMPORTS’ Interrogatory responses clearly present the kind of “general benefits” argument that the Supreme Court and the Commission have long rejected. Nor did such general benefits distinguish Ceres from Complainants. PFF ¶ 70; CX_00470, Buben Dep. Tr. 143:17-21 (“A. Everybody that enters our terminal receives those benefits. Q. That wouldn’t distinguish Ceres from Ports America, correct? A. Correct.”). As to the illusory benefits AMPORTS allegedly derived from the preferred stevedore insurance and indemnity contract rights, those too fail to distinguish any rate difference

between the preferred and non-preferred stevedore assessed the \$25 rate. *See* Section IV(A)(2)(b)(iii)(b), *supra*.

The record also establishes that Complainants clearly met the proffered standard for consideration of “stevedores in the Baltimore, MD area with adequate safety, performance, and administrative programs.” PFF ¶ 57; CX_01506, AMPORTS 143(b)(6) Dep. Ex. 39, at 5. Once AMPORTS established criteria for seeking interest and engaging in a comparative bidding process, it was obligated to apply those criteria in a reasonable, even-handed manner. *See Ceres Marine Terminal, Inc. v. Maryland Port Admin.*, FMC Dkt. No. 94-01, 1997 WL 35281266, at *36 (FMC 1997). Indeed, AMPORTS’ corporate representative testified that AMPORTS’ basis for determining whether a stevedore was interested in the competitive bidding process was whether the stevedore submitted a bid in response to the RFQ. CX_00120-22, AMPORTS Dep. Tr. 83:5-85:15. But having never received the RFQ, nor been made aware of it, Complainants were of course excluded from consideration.

The record also shows that Complainants could have provided the same purported benefits as Ceres. Complainants’ were the only other stevedores operating at the AMPORTS terminals in Baltimore, MD. PFF ¶¶ 105, 139; CX_00117-118, AMPORTS 143(b)(6) Dep. Tr. 80:22-81:1. Complainants have a “world-class” safety record (even though safety was not an actual factor in the consideration in the RFQ bids), and as a large and well-established ro/ro stevedore in Baltimore and other locations, Complaints have robust, if not world-class, administrative programs (AMPORTS deposed Ports America witnesses at length about extensive training, policies, and procedures utilized in support of Ports America’s operations). PFF ¶¶ 1-3, 53; CX_01154, Schmidt Dep. Tr. 115:6-22.

Although AMPORTS has since abandoned its preferred stevedore program, Complainants suffered injury and damages as a result, for which Complainants seek reparations, and AMPORTS expressly indicates in its June 2024 Amendment to its Schedule that it is retaining the right to

reinstitute a new preferred stevedoring program in the future. CX_01928, June 2024 Amendment to Schedule, Rule 34 2.

The issues here are whether AMPORTS is permitted to re-institute a preferred stevedore program in a similar manner in the future, whether AMPORTS has justified the differing treatment with legitimate transportation related reasons, and whether Complainants could have satisfied any purported benefits provided by the preferred stevedore, which it can and does. Similar to the Commission's holdings in *Ceres* and *Canaveral*, AMPORTS unreasonably prejudiced Complainants and unduly preferred Ceres when it excluded Complainants from consideration based on erroneous rationales that should not have excluded Complainants from consideration.

C. Unreasonable Refusal to Deal in Violation of 46 U.S.C. § 41106(3)

Section 41106(3) of the Shipping Act states that a marine terminal operator may not “unreasonably refuse to deal or negotiate.” 46 U.S.C. § 41106(3). “This requires a two-part inquiry: whether [respondent] refused to deal or negotiate, and, if so, whether its refusal was unreasonable.” *Canaveral Port Auth.*, 29 S.R.R. 1436, 1448 (FMC 2003). Regarding the first inquiry, the Commission has held that a refusal to consider a proposal, or actions effectively “shutting out” any person from consideration, constitute refusals to deal. *Id.* at 1448. Regarding the second inquiry, a refusal may not be unreasonable where it is “justified by particular circumstances in effect.” Agreement No. 201158 - Docking and Lease Agreement, 30 S.R.R. 377, 379 (FMC 2004). But a refusal for reasons not justified by “legitimate transportation-related factors” is not reasonable. *New Orleans Stevedoring Co. v. Bd. of Comm’r of the Port of New Orleans*, 29 S.R.R. 345, 351 (ALJ 2001), *aff’d*, 29 S.R.R. 1066, 1070 (FMC 2002).

1. AMPORTS Refused to Deal by Initially Excluding Ports America from Consideration in the Preferred Stevedore “Competitive Bidding” Process, and by Subsequently Refusing to Give Consideration Thereafter

There is no doubt that AMPORTS refused to deal with Ports America within the meaning of

applicable Shipping Act precedent. AMPORTS affirmatively excluded Ports America from consideration in its “competitive bidding” process for preferred stevedores operating at AMPORTS’ marine terminals. Contemporaneous board presentation materials about the nascent initiative stated that AMPORTS would inquire with current stevedores operating on AMPORTS facilities about the initiative, specifically including Ports America. CX_01282, AMPORTS 143(b)(6) Dep. Ex. 3; CX_00367; CX_00370-71, Buben Dep. Tr. 40:9-20; 43:19-44:13. In Interrogatory Responses in this proceeding asking how AMPORTS determined stevedore interest in its purported “competitive bidding” process, AMPORTS stated that “Respondent conveyed by email to several stevedoring companies who respondent understood to be stevedores in the Baltimore, MD area with adequate safety, performance, and administrative programs and invited them to bid on the opportunity....” PFF ¶ 57; CX_01506, AMPORTS 143(b)(6) Dep. Ex. 39, at 5. AMPORTS’ corporate representative, current CFO Jacob Brown, testified on behalf of AMPORTS that the purpose of inquiring with the stevedores identified in the board materials (including Ports America) was to “determine if there was interest in an exclusive stevedoring license,” and he further confirmed that AMPORTS’ basis for determining whether a stevedoring company “was interested in contemplating an exclusive licensing agreement with AMPORTS” was “whether or not [a stevedore] ultimately submitted a bid” in response to AMPORTS’ inquiries. CX_00120-22, AMPORTS 143(b)(6) Dep. Tr. 83:5-85:15.

Although Mr. Brown testified that he thought Ben Buben spoke with Ports America, neither Mr. Buben nor anyone on behalf of AMPORTS reached out to or spoke with Ports America, and AMPORTS did not send the RFQ requesting bids to Ports America. PFF ¶¶ 43-45; CX_00120, AMPORTS 143(b)(6) Dep. Tr. 83:1-4; CX_00150-51, AMPORTS 143(b)(6) Dep. Tr. 113:15-114:6; CX_00390-91, Buben Dep. Tr. 63:7-64:2. As discussed above, that was not an oversight. Mr. Buben affirmatively decided to exclude Ports America from the “competitive bidding” process in November or December 2021. PFF ¶ 33; CX_00376-78, Buben Dep. Tr. 49:5-51:22.

Ports America was in fact “shut out” of the process. And AMPORTS also effectively refused to consider a proposal from Ports America by not including Ports America in the list of stevedores getting the RFQ, even though AMPORTS’ stated basis for gauging the interest of stevedores was whether they responded to AMPORTS’ competitive bid invitation.

AMPORTS’ refusal continued when Ports America found out about the purported “competitive bidding” process after obtaining a copy of AMPORTS’ November 1, 2022 Announcement Letter of about the preferred stevedoring selection. PFF ¶¶ 43, 89. On December 6, 2022, Ports America wrote AMPORTS objecting to the preferred stevedoring announcement, requesting that AMPORTS either reverse its position and withdraw the Announcement Letter, or “offer to make equivalent terms available to [Complainants] and other stevedores for consideration” and “agree to meet to negotiate concerning such agreements and terms.” PFF ¶ 89; CX_01380, AMPORTS 143(b)(6) Dep. Ex. 30.

AMPORTS responded almost four months later, on March 31, 2023, not offering to include Ports America for the current preferred stevedoring program, but representing that “it appears [Ports America] may be well suited to bid for AMPORTS’ preferred stevedore provider in the future.” PFF ¶ 101; CX_01520, Beall Dep. Ex. 14. To do so in the future, the letter added new requirements that Ports America provide “safety records and any efficiency metrics,” that we now know were not requested or required by AMPORTS for consideration of any other stevedores included by AMPORTS. PFF ¶ 102; CX_01520, Beall Dep. Ex. 14; CX_00400, Buben Dep. Tr. 73:4-6; CX_00151-52, AMPORTS 143(b)(6) Dep. Tr. 114:24-115:24.

AMPORTS’ response did not give “actual consideration” to Ports America. It told Ports America that it was likely “well-suited” to bid for exclusive stevedoring, but did not disclose that AMPORTS had actually knowingly excluded them (or why it had been excluded), and AMPORTS added new information requirements for consideration that it did not request or evaluate from other

bidders. Ports America agrees that it was “well suited” for consideration, but if AMPORTS meant what it said it should not have excluded Ports America in the first place. Instead, AMPORTS hid the ball and raised the bar. AMPORTS was *saying* it would consider Ports America (in the future), but what AMPORTS was *doing* was continuing to shut out Ports America from consideration.

In sum, AMPORTS’ (1) initial exclusion of Ports America from the “competitive bidding” process; (2) rejection of Ports America’s December 6, 2022 request to be afforded equivalent terms and opportunity on March 31, 2022, and (3) sham offer for future consideration, that (a) represented that “it appears that Ports America may be well suited” to bid, despite AMPORTS’ prior exclusion, and (b) added new and vague data submission requirements not requested from other bidders considered, all constitute actionable refusals to deal in violation of the Shipping Act. The relevant inquiry here is thus whether AMPORTS’ actions were reasonable under the Shipping Act, which as discussed below, they were not.

2. AMPORTS’ Refusals to Deal were Not Reasonable

While the Shipping Act does not require a marine terminal operator to conduct a competitive bidding process, or follow any specific process for consideration of regulated conduct, if a marine terminal operator undertakes a process for consideration it is required to conduct it reasonably and fairly. *See Canaveral Port Authority - Possible Violations of Section 10(B)(10)*, 2003 WL 723336 *16, Dk. No. 02-02 (FMC Feb. 24, 2023) (finding a refusal to deal where the regulated entity failed to follow its own stated procedure for considering an application to provide service).

AMPORTS undertook to consider stevedores in connection with stevedoring operations performed at its marine terminals. CX_01306, AMPORTS 143(b)(6) Dep. Ex. 7. AMPORTS had a process for considering stevedores, including to make inquiries to the stevedores currently operating at its terminals about preferred stevedoring, and to evaluate interest from stevedores by considering whether (or not) stevedores responded to AMPORTS’ RFQ for preferred stevedoring. AMPORTS

represented, including in its published FMC Schedule, that it undertook consideration of preferred stevedores using a “competitive bidding” process. However, AMPORTS did not provide that consideration to Ports America. Instead, AMPORTS categorically excluded Ports America, as outlined above, and without a legitimate transportation related reason.

Even if AMPORTS’ *post hoc* rationalizations about safety/damage reporting had been real, AMPORTS should still have inquired with Ports America and should have included Ports America in the invitation to bid. It did neither. As the Commission held in *Canaveral*, the refusal to deal in that case was not that a franchise was not *granted* (or reasons why it might not have been granted), but that the Canaveral Port Authority did not *consider* an application for a franchise under its own standards. *Id.* *18. As a result, the complainant “was not given an opportunity to be heard.” *Id.*

And even if AMPORTS had not undertaken the process it set out, AMPORTS still could not permissibly “shut out” one stevedore from consideration without a legitimate transportation-related justification for doing so. *New Orleans Stevedoring Co. v. Bd. of Comm’r of the Port of New Orleans*, 29 S.R.R. 345, 351 (ALJ 2001), *aff’d*, 29 S.R.R. 1066, 1070 (FMC 2002). But Ports America was shut out from consideration, both from the initial “competitive bidding” process, and thereafter when Ports America expressly asked for consideration on similar terms afforded other stevedores.

The second time, AMPORTS’ illusory “offer” for future consideration was just as unreasonable as the first time around. Worse, AMPORTS further cemented its unreasonable conduct by outwardly representing that Ports America appeared well-suited for consideration, when privately AMPORTS knew that it had excluded Ports America from consideration, even though nothing about Ports America’s safety record or otherwise had changed in the interim. AMPORTS was not even offering to give the same consideration to Ports America, adding new requirements to provide safety records and any efficiency metrics, that AMPORTS did not require for its consideration of other stevedores. That too is analogous to *Canaveral*, where the Commission found that the unreasonable

refusal to deal included failing to give the *same consideration* to one party that was given to others. *Id.* *18.

V. DAMAGES

1. AMPORTS' Unreasonable and Unlawful Conduct in Violation of 46 U.S.C. § 41102(c) Proximately Caused Complainants' Damages

In a Section 41102(c) cause of action the complainant must prove violations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.155; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Dkt. No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). Under the preponderance standard, a complainant must show that their allegations are more probable than not. *Crocus Inv., LLC v. Marine Transp. Logistics*, FMC Dkt. No. 15-04, 2021 WL 3732849 (FMC Aug. 18, 2021).

In addition to remedial remedies to stop unlawful conduct found in violation of the Shipping Act, the Shipping Act permits recovery of damages resulting from violations, in the form of reparations. Reparations are awarded based on actual damages. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, FMC Dkt. No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022). “Actual damages means ‘compensation for the actual loss or injuries sustained by reason of the wrongdoing’ which complainants must show to a reasonable degree of certainty.” *MAVL Capital*, 2022 WL 2209421, at *3 (*quoting Cali. Shipping*, 1990 WL 427466, at *23). To obtain reparations, Complainants must show that the damages were the proximate result of violations of the statute in question with a “reasonable degree of certainty.” That does not require absolute precision but does require evidence sufficient to reasonably infer the actual loss sustained. *MAVL Capital*, 2022 WL 2209421, at *3.

Proving injury with reasonable certainty may be based on a reasonable estimate. *Office & Professional Employees Intern. Union, Local 2 v. FDIC*, 27 F.3d 598, 602 (D.C. Cir. 1994); *Eureka Investment Corp., N.V. v. Chicago Title Ins. Co.*, 743 F.2d 932, 938 (D.C. Cir. 1984);

RESTATEMENT, *supra*, § 912 & cmt. d; 1 ROBERT L. DUNN, RECOVERY OF DAMAGES FOR LOST PROFITS § 1.3, at 11 (4th ed.1992). Regarding calculation of reparations claims before the Commission "[t]he method chosen depends on the evidence available and which calculation more accurately measures the actual loss." *MAVL Capital*, 2022 WL 2209421, at *3; *see also Consolo v. Federal Maritime Com.*, 383 U.S. 607 (lost profit "is real and it is certainly compensable under the Shipping Act"); *see also, In Ngobros & Co. Nigeria Ltd. v. Oceane Cargo Link, LLC et al.*, FMC Dkt. 14-15, 2015 WL 7253385, at *9 (A.L.J. Nov. 10, 2015) (holding that complainant was entitled to a reparations award including lost profits). In *OJ Commerce v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S*, the ALJ recently held that lost profits were an appropriate measure of damages for loss of contracted cargo, and further that reasonable estimates and averages of per container profit were sufficient to meet the reasonable certainly standard. Dkt. No. 21-11 (ALJ June 7, 2023).

Complainants have suffered actual losses as a result of Respondent's conduct. It is undisputed that prior to the implementation of the AMPORTS preferred stevedoring program and \$25 Access Fee, Complainants had agreements and long-standing business relationships performing stevedoring at the Port of Baltimore and at AMPORTS' terminals with multiple ocean carriers. PFF ¶ 13; CX_01069-70, Schmidt Dep. Tr. 30:15-31:2; CX_00925-26, Beall Dep. Tr. 31:16-32:10; CX_00822, Molyneaux Dep. Tr. 69:10-23. Ocean carriers with agreements include Grimaldi, MOL, Hoegh Lines, and Wallenius Wilhelmsen. PFF ¶ 143; CX_01157; CX_01158, Schmidt Dep. 118:7-13; 119:10-18. AMPORTS November 1, 2022 Announcement Letter immediately threatened those agreements and relationships. CX_01124-25; CX_01130-31, Schmidt Dep. Tr. 85:17-86:9; 91:14-92:4.

AMPORTS knew that its preferred stevedore program, in connection with the punitive Access Fee, would likely result in Ports America losing business. PFF ¶ 144; CX_00486-88, Buben

Dep. Tr. 159:20-161:13; CX_00145-46, AMPORTS 143(b)(6) Dep. Tr. 108:4-109:7. AMPORTS knew prior to its November 1, 2022 Announcement Letter that only Ceres and Ports America (PAC and MTCE) performed stevedoring for vessels calling at AMPORTS' terminals. PFF ¶¶ 105, 139; CX_00117-118, AMPORTS 143(b)(6) Dep. Tr. 80:22-81:1. And AMPORTS knew, and indeed intended, that with Ceres as the preferred stevedore and Ports America as a non-preferred stevedore, that Ports America would lose business to Ceres.

AMPORTS promoted the intended loss of business. In response to questions regarding its RFQ, AMPORTS asserted that it was offering value to the preferred stevedore because “[w]e will be handing a book of business to the new partner.” PFF ¶ 142; CX_01306, AMPORTS 143(b)(6) Dep. Ex. 7. The “book of business” included the non-preferred stevedore’s current business, *i.e.*, AMPORTS was promoting its ability to effectively convey Ports America’s existing business to the preferred stevedore. PFF ¶ 144; CX_00145-46, AMPORTS 143(b)(6) Dep. Tr. 108:4-109:7. AMPORTS was brazen about facilitating Ports America losing business to its preferred stevedore. In the November 1, 2022 Announcement Letter, AMPORTS made clear to the ocean carriers and OEMs receiving the Announcement that “[the preferred stevedores] have agreed to honor existing stevedoring agreements current in place at our locations until expiration.” PFF ¶ 92; CX_01359, AMPORTS 143(b)(6) Dep. Ex. 22. Stevedores bidding on the RFQ were told by AMPORTS that other stevedoring companies had offered to honor the existing contracts until they expired (or at least until they could leverage their sole stevedore position to obtain higher rates). CX_00381-83, Buben Dep. Tr. 54:25-56:2.

AMPORTS also knew that its conduct would compel ocean carriers to change stevedores, resulting in Ports America losing business. Ports America and its ocean carrier customers strongly objected to the preferred stevedore and Access Fees, including objecting to the impact on contractual rights and obligations and the carriers rights to chose their own stevedore. *See* PFF ¶ 145;

CX_01367; CX_01371, AMPORTS 143(b)(6) Dep. Exs. 26, 28; CX_02031, APS_0112. In a letter to COO Ben Buben dated December 2, 2022, Wallenius Wilhelmsen objected to being forced to use Ceres, noting Ports America was its chosen stevedore with whom it has “a long-standing contractual relationship.” CX_01367, AMPORTS 143(b)(6) Ex. 26. Similarly, Grimaldi sent a letter informing AMPORTS that “we view these efforts as commercially offensive ... it seeks to usurp our own decision on whom we want to perform our stevedoring, a decision we did not lightly make,” further referring to Ports America as its “contracted and chosen stevedores of long standing.” CX_01371, AMPORTS 143(b)(6) Dep. Ex. 28. AMPORTS knew that Ports America was likely to lose business as a direct result of AMPORTS’ conduct.

Ports America in fact lost most of its business previously performed for ocean carrier customers using AMPORTS’ terminals, despite concerted efforts by both Ports America and the ocean carriers to find a way to continue in the face of the significant Access Fee liability risk to both Ports America and the ocean carriers. PFF ¶ 148. Grimaldi and Ports America attempted to continue the long-standing business relationship, but Grimaldi reluctantly determined it could not risk the potential liability from the \$25 per unit Access Fee, saying that “we have no options left than working... with the stevedores [Ceres] imposed by AMPORTS.” PFF ¶ 146; CX_01114-15, Schmidt Dep. Tr. 75:18-76:19; CX_01117-19, Schmidt Dep. Tr. 78:14-80:10, CX_01124-26, Schmidt Dep. Tr. 85:3-87:7. Ports America had similar discussions with Hoegh Lines in an effort to retain the business. CX_01142-44, Schmidt Dep. Tr. 103:20-105:14. And similarly, Hoegh Lines and Ports America were not able to reach an understanding to manage the Access Fee liability risk and the business was ultimately lost. PFF ¶ 147; CX_01142-44, Schmidt Dep. Tr. 103:20-105:14. Port America and MOL also engaged in extensive discussion and negotiation in an effort to continue stevedoring MOL vessels calling at AMPORTS terminals, which was ultimately successful, but involved both parties undertaking significant risk in the event that the instant legal challenges to the

Access Fee were not successful. PFF ¶ 147; CX_01130-31; CX_01132; CX_01134-35; CX_01136, Schmidt Dep. Tr. 91:11-92:13; 93:14-19; 95:17-96:15; 97:5-16. While Ports America was able to mitigate some loss of business with MOL, Complainants' existing business with its other carriers at AMPORTS terminals was lost as a direct result of AMPORTS' conduct.

Complainants lost their existing business with Grimaldi, Hoegh Lines, and Wallenius Wilhelmson. PFF ¶ 147; CX_01158, Schmidt Dep. Tr. 119:10-18. As detailed below, Ports America tracked, analyzed, calculated and reported in detail the business lost as a result of AMPORTS' conduct. PAC and MTCE's actual lost business damages exceeded one million dollars in EBITDA through early 2024, PFF ¶ 148; CX_01158-59, Schmidt Dep. Tr. 119:19-120:1, with losses accruing into 2024 approximating [REDACTED] per month. The lost profits are not speculative or theoretical: an initial estimate of the lost business was disclosed to AMPORTS in 2023 as part of Ports America's response to interrogatories, based on the historical average volume by carrier annualized over two years. *See* PFF ¶ 149; CX_01562, Schmidt Dep. Ex. 3, Interrogatory 10; CX_01532, Beall Dep. Ex. 2, Interrogatory 10. The 2023 calculations provided a reasonable basis for Ports America's damages at the time, and the data and analysis was updated in 2024 to incorporate the actual 2023 volumes and provide calculations of lost business based on a trailing twelve (12) month volume average. These calculations are detailed, separately account for PAC and MTCE losses, the data and loss calculations are reported separately by vessel line and/or service, based on individual agreement rates, which vary by carrier and services, and based on financial and operational information and business records such as agreement rates and carrier invoices maintained by financial personnel.¹⁴ CX_01157-62, Schmidt Dep. Tr. 119:13-123:2; CX_01165-66, Schmidt Dep. Tr. 126:5-127:11 (discussing lost business, data and calculations). The damages

¹⁴ With respect to 2024 volumes impacted by the Baltimore bridge collapse, Ports America's business insurance coverage would have covered the loss of revenue that had not been disrupted by AMPORTS conduct, therefore Ports America's damages claimed against AMPORTS continued through the period impacted by the bridge collapse.

information and calculations were made available to counsel in this proceeding, and counsel had an opportunity to depose knowledgeable witnesses on the subject.

Data tables summarizing Ports America's volume and lost business damage calculations are available at CX_02043, PA_0002235 (summary table); CX_2040-42, PA_0002232-34 (backup data table details). The damages were summarized in Ports America witness testimony, and are further summarized below:

[illegible]

On May 15, 2024, AMPORTS provided notice that it was ending the preferred stevedoring arrangement and rescinding the \$25/car Access Fee. However, Port's America's damages have continued to accrue and will likely continue to do so until the uncertainty with the AMPORTS Schedule is resolved. After AMPORTS rescinded the \$25 Access Fee on May 15, 2024, it appeared for a short time that conditions may have been favorable to begin to recover previously lost business, but AMPORTS' surprise announcement on May 24, 2024 that it was imposing a new

\$10 Access Fee reintroduced significant commercial uncertainty. Therefore, Ports America's lost business damages are still accruing. If appropriate, Complainants would be prepared submit a supplemental submission on damages.

2. Damages for Violations of 46 U.S.C. § 41106(2)

The measure of damages for discrimination in rate cases is generally the difference in the rates. However, this case is unique for three reasons. First, as to the rate, while Ceres and Complainants were invoiced for the respective Access Fees, at [REDACTED] and \$25 per car, respectively, neither Ceres nor Complainants have paid the contested invoices. Second, the preference and prejudice in this case also includes AMPORTS' improper exclusion of Complainants from consideration, and while Complainants may have successfully bid and entered into an agreement with AMPORTS to pay a lesser fee, Complainants never entered into such an agreement or agreed to pay a [REDACTED] access fee, or any access fee. As the only "non-preferred" stevedore in Baltimore, the impact of the exclusion was its exposure to liability for the excessive and punitive \$25 fee and the negative impact of the Access Fees and the associated economic exclusion as a "non-preferred" stevedore. Third, as of May 15, 2024, AMPORTS rescinded the Ceres preferred stevedore agreement and rescinded the \$25 Access Fee. At present, there is therefore no longer a preferred stevedore offering that Complainants could bid on. In these circumstances, the more appropriate remedies are a cease and desist order barring AMPORTS from seeking to enforce Access Fees, and reparations for its actual losses to business and profits resulting from AMPORTS' actions.

VI. CONCLUSION

As a result of AMPORTS' unreasonable practices, unreasonable preferences and prejudices, and refusals to deal, Complainants have suffered actual injury and damages directly and proximately caused by AMPORTS' wrongful conduct. With liability established, the Presiding Officer should order AMPORTS to cease and desist from continuing and future violations, including assessment

and collection of Access Fees, and order reparations for Ports America's damages, pre-judgment interest, and such other and further relief as is deemed just and proper. Ports America further seeks and is entitled to its attorneys' fees and costs in this proceeding in due course. 46 U.S.C. § 41305.

Respectfully Submitted,

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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